

ANNUAL REPORT 2020-21

CORPORATE INFORMATION'S
MEWAR HI-TECH ENGINEERING LIMITED
CIN NO: L29299RJ2006PLC022625



MEWAR HITECH ENGINEERING LIMITED

BOARD OF DIRECTORS

Shri.Chattar singh Harisingh Rathore	Chairman And Managing Director
Smt. Reena Rathore	Whole Time Director
Shri. Vaibhav Singh Rathore	Whole Time Director & CFO
Shri . Ajit Singh Rathore	Independent Director
(w.e.f. 16/07/2018)	
Shri Ghanshyam Joshi	Independent Director
(w.e.f. 26/09/2019)	
Shri Chandragupt Singh Chauhan	Independent Director
(w.e.f. 25/10/2020)	

COMPANY SECRETARY AND COMPLIANCE OFFICER

Mrs. RIMIKA TALESARA

Email- investor@kingsoncrusher.com

REGISTRAR AND SHARE TRANSFER AGENT
BEETAL FINANCIAL & COMPUTER SERVICES (P) LTD
BEETAL HOUSE, 3rd Floor, 99 Madangir, Behind LSC
Near Dada Harsukhdas Mandir, New Delhi-110062,

BANKER:

**Corporation Bank,
HDFC Bank
State Bank of India**

SCRUTINIZER:

**Divanshu Mittal & Associates
Company Secretary
Jaipur, Rajasthan-302018**

AUDITOR:

**M/s Sagar Golchha & Co.
Chartered Accountant
Udaipur, Rajasthan-313001**

REGISTERED OFFICE:

**1 Hawa Magri Industrial Area
Sukher Udaipur 313001**

WORDS FROM MANAGING DIRECTOR

Esteemed Shareholders, my colleagues on the Board, distinguished ladies and gentlemen,

Good Morning/ Good Afternoon,

It is with great pleasure that I welcome you all to the 15th Annual General Meeting of Your Company. Thank you for your presence here today, and for your continued support which is critical to the success of our company.

It gives me immense pleasure and sense of pride in stating that the Company continued its sustained leadership in the industry in an intense competitive market. The performance is reflective of the hard work and perseverance of thousands of dedicated employees working relentlessly for your company's success.

Please join me in congratulating the leadership and employees of the Company for delivering a successful financial year once again.

The Notice of this Annual General Meeting and Annual Report for the year 2020-21 was sent electronically to all Shareholders earlier who had registered their e-mail IDs. In the interest of your time, and with your kind permission, I shall proceed to take them as read.

Your company continued its performance run for another year by keeping the intensity and focus on central as well as state utilities market. The Company has expanded its footprint in Industrial sector.

During the year, sales revenue was recorded at Rs. 46 crore, the Profit after tax was seen rising to Rs. 3,390,337 compared to profit of Rs. 3,415,741 declared in the previous year.

The company is engaged in the business of manufacturing and assembling of wide range of crushers, screens and customized size reduction equipment. Your Company had evolved and adopted a code of conduct based on the principal of good Corporate Governance and best management practices being followed globally.

During the year under review the directors of the company felt prudent to retain the earnings for the year to be ploughed back in the business, which shall result in further augmentation of the company's growth and shareholder's wealth.

The Company shall its increase investments in this arena to maximize operational efficiency, enhance customer experience, and improve brand salience and reach. we are enhancing our customer engagement, tightening internal financial controls, and enhancing productivity. Data streaming, block chain and hyper localization are the emerging tools that will define the future.

Your Company identifies & evaluates the business risks and opportunities. The directors of the Company take pro-active steps to minimize adverse impact on the business objectives and enhance the Company's competitive advantage. Presently no material risk has been identified by the directors except of general business risks, for which the Company is leveraging on their expertise and experience.

I wish to place on record my deep sense of gratitude to my colleagues on the Board for their counsel and support.

I am thankful to all the Board of Directors, key managerial personals, statutory auditors, compliance officers, practicing company secretaries, legal advisers and other stakeholders, the insights and advice of whom I deeply value.

I thank you once again for your continued faith in MEWAR Hi-TECH ENGINEERING and its management.

I wish you and your family members all the best!

Thank you!

ABOUT MEWAR HI-TECH



* Manufacturing unit of Mewar Hi-Tech Engineering Ltd. comprising of various machineries like Cone Crushers, Jaw Crusher, HISS, VSI and Vibrating Screens, etc.

NOTICE

Notice is hereby given that the 15th Annual General Meeting of the members will be held on Friday, 24th Day of September, 2021 at 11:30 A.M, through the Video Conferencing (“VC”)/ Other Audio Visual Means (“OAVM”) to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider, approve and adopt the audited Balance Sheet as on 31st March, 2021, Profit & Loss Account and Cash Flow Statement for the year ended on that date together with the Board Report and Auditor’s report thereon.
2. To reappoint Mrs. Reena Rathore (DIN: 01748907) as Whole Time Director, who is liable to retire from her office by rotation and being eligible, offers herself for re-appointment under section 152 (6) of the Companies Act 2013.
3. To consider and if thought fit, to pass with or without modification(s) the following resolution as a ordinary resolution;

“RESOLVED THAT pursuant to the provisions of Section 168 of the Companies Act, 2013 and read with Companies (Appointment and Qualification of Directors) Rule 2014, MR. AJIT SINGH RATHORE (DIN- 08178802) has tendered his resignation from the post of directorship of the company.

RESOLVED FURTHER THAT the resignation of MR. AJIT SINGH RATHORE (DIN- 08178802) be and is hereby accepted by the members of the company in the Annual General Meeting of the Company.

RESOLVED FURTHER THAT for the purpose of giving effect to this resolution, any Director of the Company be and is hereby authorized on behalf of the company to do all acts, deeds, matters and things as deems necessary, proper or desirable and to sign and execute all necessary documents, applications and returns along with filing of necessary E-form with the Registrar of Companies.”

SPECIAL BUSINESS:

4. To consider and, if thought fit, to pass, with or without modification(s), the following resolution as a Special Resolution: -

"RESOLVED THAT pursuant to the provisions of Sections 149 and 152 read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 ("the Act") and the Companies (Appointment and Qualification of Directors) Rules, 2014 and the applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force), Mr. CHANDRAGUPT SINGH CHAUHAN (DIN:09018039), who was appointed as an Additional Director (Non - Executive Independent Director) and who shall hold office of Additional Director up to the date of this Annual General Meeting and being eligible, and in respect of whom the Company has received a notice in writing under Section 160 of the Act from a member proposing his candidature for the office of Director, be and is hereby appointed as an Independent Director of the Company, not liable to retire by rotation and to hold office for a term of 5 (five) consecutive years on the Board of the Company.

RESOLVED FURTHER THAT the Board of Directors of the Company be and are hereby authorized to do all acts, deeds and things and take all such steps as may be necessary, proper or expedient to give effect to this resolution."

For & on behalf of the Board of Directors

Mewar Hi-Tech Engineering Limited
CIN: L29299RJ2006PLC022625

Date: 01.09.2021

Place: Udaipur

Sd/-
(Rimika Talesara)
Company Secretary
M. No. A43461

NOTES:

- 1) The Explanatory Statement pursuant to Section 102 of the Companies Act, 2013 with respect to the relevant business set out in the Notice is annexed.
- 2) In view of the massive outbreak of the COVID-19 pandemic, social distancing is a norm to be followed; the government of India, Ministry of Corporate Affairs allowed conducting Annual General Meeting through video conferencing (VC) or other audio visual means (OAVM) and dispensed personal presence of the members at the meeting. Accordingly, the Ministry of Corporate Affairs issued Circular No. 14/2020 dated April 08, 2020, Circular No. 17/2020 dated April 13, 2020 and Circular No. 20/2020 dated May 05, 2020 and Circular No. 02/2021 dated January 13, 2021, prescribing the procedures and manner of conducting the Annual General Meeting through VC/OAVM. In terms of the said Circulars, the 15th Annual General Meeting (AGM) of the members be held through video conferencing (VC) or other audio visual means (OAVM). Hence, Members can attend and participate in the AGM through VC/OAVM only. For this, the link of the zoom meeting for attending AGM will be shared to all the shareholders/members on their registered mail ids 24hours prior to the meeting. Also, this link will be updated on the website of the company for ready reference. The deemed venue for the AGM shall be the Registered Office of the Company.
- 3) The helpline number regarding any query/assistance for participation in the AGM through VC/OAVM is 0294-2440235.
- 4) Since, the AGM is being conducted through VC/OAVM, there is no provision for appointment of proxies. Accordingly, appointment of proxies by the members will not be available.
- 5) The Shareholders can join the AGM in the VC/ OAVM mode, 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned herein below in the Notice.
- 6) The attendance of the Shareholders attending the AGM through VC/ OAVM will be counted for the purpose of reckoning the quorum under Section 103 of the Act.
- 7) Corporate members are requested to send at investor@kingsoncrusher.com in before e-voting/attending annual general meeting, a duly certified copy of the Board Resolution authorizing their representative to attend and vote at the Annual General Meeting, pursuant to Sec 113 of the Companies Act,2013.

- 8) Pursuant to the provisions of Section 91 of the Companies Act, 2013, the Register of Members and Share Transfer Books of the Company would remain closed from Wednesday, 18th September, 2021 to Friday, 24th September, 2021 (both days inclusive) for the purpose of Annual General Meeting of the Company.
- 9) In accordance with the provisions of Section 101 of Companies Act, 2013, read with Rule 18 of Companies (Management and Administration Rules), 2014 and Regulation 36 of the SEBI (LODR) Regulations, 2015, Copies of the Notice of the 15th AGM, Annual Report 2021, Attendance Slip and Proxy are being sent by electronic mode to all those members whose e-mail addresses are registered with the Company/RTA or Depository Participant for communication purposes unless any member has requested for a hard copy of the same. For members who have not registered their email addresses, physical copies of the Annual Report 2021 are being sent by the permitted mode.
- 10) Members may note that the notice of the 15th AGM, the Annual Report 2021 will be available on the Company's website. The physical copies of the aforesaid documents will also be available at the Company's Registered Office for inspection during normal business hours on working days. Members who require communication in physical form in addition to communication via e-mail or having any other queries, may write to us at investor@kingsoncrusher.com.
- 11) All the documents referred to in the accompanying Notice and the Statement pursuant to Section 102(1) of the Companies Act, 2013, will be available for inspection at the Registered Office of the Company during Business Hours on all working days up to the date of declaration of the result of the 15th AGM of the Company.
- 12) The Register of Contracts or arrangements, in which the Directors are interested, maintained u/s 189 of the Companies Act, 2013, if any, will be available for inspection by the Members at the AGM.
- 13) Additional information, pursuant to SEBI (LODR) Regulations, 2015, in respect of the directors seeking appointment/re-appointment at the AGM is furnished in the explanatory statement forming part of this Notice. The directors have furnished consent/declaration for their appointment/re-appointment as required under the Companies Act, 2013 and related Rules.
- 14) The members desirous of obtaining any information with regard to the audited annual accounts of the Company for the financial year 2020-2021 or on any other related subject are requested to write to the Company at mail ID-investor@kingsoncrusher.com at least 15

days before the date fixed for the AGM, so that the information required could be kept ready.

- 15) As per Regulation 40 of SEBI Listing Regulations, as amended, securities of listed companies can be transferred only in dematerialized form with effect from April 1, 2019, except in case of request received for transmission or transposition of securities. In view of this and to eliminate all risks associated with physical shares and for ease of portfolio management, members holding shares in physical form are requested to consider converting their holdings to dematerialized form. Members can contact the Company or Company's Registrars and Transfer Agents. Members may also refer to Frequently Asked Questions ("FAQs") on Company's website investor@kingsoncrusher.com.
- 16) As per the provisions of Section 72 of the Act, the facility for making nomination is available for the Members in respect of the shares held by them. Members who have not yet registered their nomination are requested to register the same by submitting Form No. SH-13.
- 17) In case of joint holders attending the AGM, the Member whose name appears as the first holder in the order of names as per the Register of Members of the Company will be entitled to vote.
- 18) The Board of Directors has appointed M/s Divanshu Mittal and Associates, Practicing Company Secretaries as the Scrutinizer to scrutinize the voting at the AGM and remote e-voting process in a fair and transparent manner.

FOR THE ATTENTION OF THE MEMBERS:

1. Members are requested to send intimations of any changes in their addresses, applications for demat of shares, applications for transfer of shares and any related correspondence to the Company's share transfer agents Beetal Financial & Computer Services (P) Ltd, BEETAL HOUSE, 3rd Floor, 99 Madangir, Behind LSC Near Dada Harsukhdas Mandir, New Delhi-110062, Phone: 011-29961281-83 Fax: 011-29961284 Email: beetal@beetalfinancial.com, Web Site: www.beetalfinancial.com.

2. SENDING NOTICES AND DOCUMENTS TO SHAREHOLDERS THROUGH EMAIL:

As a part of "Green Initiative" in Corporate Governance, the Ministry of Corporate Affairs has allowed sending communication to the shareholders through electronic mode. Accordingly, we propose to send documents like notices convening General Meetings, Annual Reports, etc. to

the email addresses of the shareholders. For this purpose, shareholders holding shares in demat form are requested to register their email IDs with their Depository Participants.

Mewar Hi-Tech Engineering Limited
CIN: L29299RJ2006PLC022625

Date: 01.09.2021

Place: Udaipur

Sd/-
(Rimika Talesara)
Company Secretary
M. No. A43461

EXPLANATORY STATEMENT IN RESPECT OF SPECIAL BUSINESS PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013

The following Statement sets out all material facts relating to the Special Business mentioned in the Notice:

ITEM NO. 4:

Mr. Chandragupt Singh Chauhan (DIN: 09018039) was appointed as Additional Director (Non - Executive Independent Director) on the Board of the Company pursuant to the provisions of Section 149 and 161 and 152 of the Companies Act, 2013 ("the Act") read with the Companies (Appointment and Qualification of Directors) Rules, 2014 and the applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force) and he hold office as Additional Independent Director of the Company up to the date of this Annual General Meeting of the Company. The Company has received a notice in writing along with deposit of requisite amount under Section 160 of the Act, from Mr. Chandragupt Singh Chauhan proposing his candidature for the office of Director of the Company.

Based on the recommendation of Nomination and Remuneration Committee, the Board of Directors, appointed Mr. Chandragupt Singh Chauhan as Independent Directors of the Company, not liable to retire by rotation and who shall hold office for a term of 5 (five) consecutive years on the Board of the Company.

Pursuant to Section 149 of the Act and provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") Mr. Chandragupt Singh Chauhan has given a declaration stating that he meets the criteria of independence as provided in Section 149(6) of the Act. In the opinion of the Board, Mr. Chandragupt Singh Chauhan fulfills the conditions specified in the Act and its respective Rules made thereunder for appointment of Independent Director and is independent of the management. Mr. Chandragupt Singh Chauhan is not disqualified from being appointed as Directors in terms of Section 164 of the Act and he has given his consent to act as Director.

In compliance with the provisions of Section 149, 152, 160 read with Schedule IV of the Act, the appointment of Mr. Chandragupt Singh Chauhan as an Independent Director of the Company is now being placed before the Members for their approval by way of special resolution as he has attained the age of Seventy-five years. The terms and conditions for appointment of Mr. Chandragupt Singh Chauhan as an Independent Director of the Company

shall be open for inspection by the members at the Registered Office of the Company during normal business hours on any working day.

Your Directors therefore, recommend the passing of the resolution proposed at Item No. 3 of the Notice. Except Mr. Chandragupt Singh Chauhan, none of other Directors, Key Managerial Personnel of the Company and their relatives is, in any way, concerned or interested, financially or otherwise, in these resolutions.

MEWAR HI-TECH ENGINEERING LIMITED

1, HAWA MAGRI, INDUSTRIAL AREA SUKHER, UDAIPUR (RAJ.)

CIN: L29299RJ2006PLC022625

Ph. No.: 0294-2440234; Fax No. 0294-2440234,

E-mail Id: accounts@kingsoncrusher.com; Website: www.mewarhitech.com

Additional Information required under Regulation 36(3) of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 (relating to Corporate Governance) and Secretarial Standard on General Meetings, with respect to the appointment & re-appointment of Directors is as under:

Name of the Director	REENA RATHORE	CHANDRAGUPT SINGH CHAUHAN
Director Identification Number	01748907	09018039
Date of Birth	19.04.1969	13/09/1960
Age	52	61
Date of Appointment	08/06/2006	25/10/2020
Brief resume of the Director including Qualification, nature of expertise in specific functional areas	P O S T GRADUATION	MBA
No. of shares held in the Company	926,000	NIL
Directorships and Committee memberships held in other companies	She has held directorship in the following other companies: 1. Mewar Technocast Private Limited	Nil
Inter-se relationships between Directors, Manager and KMPs	Shri Chatrsingh Harisingh Rathore, Husband-Wife Shri Vaibhav Singh Rathore, Son-Mother	NA
Nationality	INDIAN	INDIAN
No. of Board Meetings held during the Year	13	NA
No. of Board meetings attended during the year.	13	NA
Terms & Conditions of	Re-appointment of Smt.	Appointed as additional

appointment	Reena Rathore as Whole Time Director who is liable to retire by rotation.	director category as independent director
Remuneration sought to be paid	NIL	NIL
Remuneration Last drawn	NIL	NIL

*Chairman of the Committee for other details such as the number of meetings of the board attended during the year, remuneration drawn and relationship with other directors and key managerial personnel in respect of above directors, please refer to the Corporate Governance Report which is a part of this Annual Report.

**For & on behalf of the Board of Directors
M/s Mewar Hi-Tech Engineering Limited**

Date:01.09.2021

Place: Udaipur

**Sd/-
(Rimika Talesara)
Company Secretary
M. No. A43461**

MEWAR HI-TECH ENGINEERING LIMITED

1, HAWA MAGRI, INDUSTRIAL AREA SUKHER, UDAIPUR (RAJ.)

CIN: L29299RJ2006PLC022625

Ph. No.: 0294-2440234; Fax No. 0294-2440234,

E-mail Id: accounts@kingsoncrusher.com; Website: www.mewarhitech.com

DIRECTOR'S REPORT

To The Members,

Your Directors have pleasure in presenting their 15th Annual Report on the business and operations of the Company and the audited accounts for the Financial Year ended on 31st March, 2021.

1. FINANCIAL PERFORMANCE

The Company's financial performances for the year under review along with previous year's figures are given hereunder:

(Amount in Rs.)		
Particulars	For the financial year ended 31st March, 2021 (Rs.)	For the financial year ended 31st March, 2020 (Rs.)
Business Income	46,35,28,283	52,74,29,496
Other Income	59,11,351	49,79,406
Total Income	46,94,39,634	53,24,08,902
Profit before depreciation taxation	1,57,55,414	1,64,97,440
Less: Depreciation	1,04,08,418	1,01,85,069
Less: Taxation	19,56,659	28,96,630
Profit after taxation	33,90,337	34,15,741
Balance brought forward from the previous year	0	30479439
Total balance carried to Balance Sheet	33,90,337	34,15,741

2. OPERATION AND STATE OF COMPANY'S AFFIARS:

The company has generated Rs. 46,35,28,283/- as revenue from the operations in the current financial year i.e., 2020-2021. The company is engaged in the business of manufacturing and assembling of

wide range of crushers, screens and customized size reduction equipment. The Board of Directors had evolved and adopted a code of conduct based on the principal of good Corporate Governance and best management practices being followed globally.

During the year under review your company did satisfactory. Directors expect that the company will achieve new heights in the ensuing year.

3. DIVIDEND:

During the year under review the directors of the company felt prudent to retain the earnings for the year to be ploughed back in the business, which shall result in further augmentation of the company's growth and shareholder's wealth.

4.CHANGES IN THE NATURE OF BUSINESS:

There is no change in the nature of business in comparison to immediate preceding year.

5.CHANGE IN SHARE CAPITAL:

The Company has 39,03,600 Equity Shares of Rs. 10/- each amounting to Rs. 3,90,36,000.

During the year under review, the Company has not issued any shares. Thus, there is no change in the Share Capital of the Company.

6.TRNASFER TO RESERVES:

Any amount carried forward in reserve showing in the financial statements of the company.

7.MANAGEMENT DISCUSSION AND ANALYSIS:

Pursuant to SEBI (LODR) Regulations, 2015 Report on Management Discussion and Analysis forms an integral part of the Board Report. The Management Discussion and Analysis report is annexed as Annexure.

8.DIRECTOR'S RESPONSIBILITY STATEMENT:

In pursuance of provisions of Section 134(5) referred to in clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013, and based on the information provided by the management, your Directors hereby confirm that:

- (a) In the preparation of the annual accounts, the applicable accounting standards had been followed with proper explanation relating to material departures;
- (b) They have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit and loss of the Company for that period;
- (c) They have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities.
- (d) They have prepared the annual accounts of the Company on a going concern basis.
- (e) They have laid down Internal financial controls to be followed by the Company and such internal financial controls are adequate and were operating effectively.
- (f) They have devised proper systems to ensure compliance with the provisions of all applicable laws and such systems are adequate and operating effectively.

Based on the framework of internal financial controls and compliance systems established and maintained by the Company, the work performed by the internal, statutory and secretarial auditors and external consultants, including the audit of internal financial controls over financial reporting by the statutory auditors and the reviews performed by management and the relevant board committees, including the audit committee, the Board is of the opinion that the Company's internal financial controls were adequate and effective during FY 2020-2021.

9. CORPORATE SOCIAL RESPONSIBILITY:

The Company has not developed and implemented any Corporate Social Responsibility initiatives as the said provisions are not applicable. Pursuant to the provisions of section 135 and schedule VII of the Companies Act, 2013 at present the CSR provisions are not applicable to the Company.

Further, the Company has voluntarily spent certain amounts towards the Society.

10. MATERIAL CHANGES AND COMMITMENTS AFFECTING FINANCIAL POSITION BETWEEN THE END OF THE FINANCIAL YEAR AND DATE OF REPORT:

There are no material changes after the balance sheet date which may materially affect the financial position of the company or having any material impact on the operations of the Company.

11. CHANGES IN SUBSIDIARIES, JOINT VENTURES OR ASSOCIATE COMPANIES

The Company has no subsidiaries, joint ventures or associates during the year and therefore no details are required to be given.

12. CONSOLIDATED FINANCIAL STATEMENTS:

The Company has no Subsidiary or Joint Venture therefore; question of consolidated financial statement does not arise.

13. CONTRACTS AND ARRANGEMENTS WITH RELATED PARTIES:

The company has entered into the transaction with its related party on the arm length price in ordinary course of business and same has been reviewed by the Audit committee pursuant the Provision of Regulation 23 of SEBI (LODR) Regulations, 2015 and Rule 6A of (Meeting of Board and its power) Rules, 2014.

All the related party transactions on arm length price and in ordinary course of business due to which the provision of section 188 of the Company's Act, 2013 not applicable on the company and the details of Related Party Transaction disclosed in Notes of Accounts.

14. PARTICULARS OF EMPLOYEES AND REMUNERATION:

The information required pursuant to Section 197 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 with respect of the employees of the Company is enclosed herewith as Annexure.

15. DIRECTORS AND KEY MANAGERIAL PERSONNEL

Pursuant the Provision of Section 160, 149 and 152 of the companies act, 2013 the Remuneration and Nomination Committee has recommended and propose the name of Mr. Chandragupt Singh Chauhan (DIN: 09018039) to appoint as an additional director (Non executive & independent) of the company and will regularized in the annual general meeting of the company for the financial year 2020-21.

During the financial year Mrs Reena Rathore retires from the post of directorship of the company by rotation and being eligible and offer herself for reappointment.

The brief profile, pursuant to Regulation 36 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, of the Director eligible for appointment/ re-appointment forms part of the Corporate Governance Report.

The company has Independent Directors on the Board and also one women director as per the requirements of section 149 of the Companies Act, 2013.

Mr. Munish Chandra Goyal has resigned from the post of Independent Directorship w.e.f 27.07.2020.

16. DECLARATION FROM INDEPENDENT DIRECTORS ON ANNUAL BASIS

The Company has received necessary declaration from each Independent Director of the company under Section 149(7) of the Companies Act, 2013 that the Independent Directors of the Company meet with the criteria of their Independence as laid down in Section 149(6).

17.INTERNAL AUDITORS

The company has M/s K Chhabra & Associate, Chartered Accountant (Firm Registration Number: 003988C) as an internal Auditors as per provision of section 138 of the Companies Act, 2013 and has completed the internal Audit as per the scope defined by the Audit Committee.

18. STATUTORY AUDITORS

M/S Sagar Golchha & Co., Chartered Accountants (FRN: 007755C) acts as the Statutory Auditors of the Company and audited the financial statements for the year ended 31st March, 2021, who was appointed in the Annual General Meeting of the Company which was held on 30th day of September, 2017 to hold office for a period of 5 (five) consecutive years till the conclusion of the Annual General Meeting which will be held at the end of F.Y. 2022, at such remuneration for each financial year as may be decided by the directors of the company in due consultation with the Statutory Auditors of the Company.

19. SECRETARIAL AUDITOR

M/s Pankaj Sharma & Associates, Practicing Company Secretary, Jaipur was appointed as the Secretarial Auditor of the Company for the financial year 2020-2021 by the Board of Directors

pursuant to provisions of Companies Act, 2013 and rules there under. Secretarial audit report as provided by M/s Pankaj Sharma & Associates, Practicing Company Secretary is annexed to this Report.

20. AUDIT REPORTS

The statutory auditor's report, the secretarial audit report and internal audit reports for the year ending 2020-2021 have been obtained by the company. Secretarial audit report and statutory audit is a part to this report.

21. BOARD MEETINGS

During the Financial Year 2020-2021, the Board of directors met 13 times. The details of the Board Meeting and the attendance of the directors are provided in the corporate governance report.

22. NOMINATION AND REMUNERATION COMMITTEE & AUDIT COMMITTEE:

The Nomination & Remuneration Committee and Audit Committee consist of adequate composition of Non Executive Independent Directors of which details are mentioned in the Corporate Governance Report as per the requirement of SEBI (LODR) Regulation, 2015.

All the recommendations of the Audit committee were accepted by the Board during the FY 2020-2021.

23. PARTICULARS OF LOANS, GAURANTEES OR INVESTMENTS

Details of Loans, Guarantees and Investments covered under the provisions of Section 186 of the Companies Act, 2013, if any, apart from the loans made, guarantee given or security provided by the Company in the ordinary course of business, if any, are given in the Notes to accounts forming part of the Audited Financial Statements for the year ended March 31, 2021.

24. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE OUTGO:

- (a) **Conservation of Energy:** The Company's operations are not energy-intensive and involve low energy consumption. However, adequate measures have been taken to conserve the consumption of energy.

- (b) **Technology Absorption:** Operations of the company do not involve any kind of special technology and there was no expenditure on research & development during this financial year. However, your company continuously upgrading its technology (computer technology and telecom infrastructure) to ensure it is connection with its clients across the global.
- (c) **Foreign Exchange Earnings and outgo:** During the year the company has not received any foreign exchange earnings and also there is no foreign exchange outgo during the year.
- (d) **Human Resource Development & Industrial Relations:** Your Company continues to take new initiatives to further align its HR policies to meet the growing needs of its business. People development continues to be a key focus area of the Company. The industrial relations in all the units of the Company remained cordial and peaceful throughout the year.

25. EXTRACT OF ANNUAL RETURN:

Pursuant to the provisions of Section 92(3) read with Section 134(3)(a) of the Companies Act, 2013, the Annual Return is set out as an Annexure to this Board Report in prescribed Form MGT-9 which forms part of this Annual Report. We are hosting the Annual Return on the web link of the company i.e. www.mewarhitech.com.

26. BUSINESS RISK MANAGEMENT

The Board of Directors of the Company identifies & evaluates the business risks and opportunities. The directors of the Company take pro-active steps to minimize adverse impact on the business objectives and enhance the Company's competitive advantage. Presently no material risk has been identified by the directors except of general business risks, for which the Company is leveraging on their expertise and experience.

27. SIGNIFICANT AND MATERIAL ORDERS PASSED BY REGULATORS OR COURTS

There are no significant material orders passed by the Regulators / Courts / Tribunals which would impact the going concern status of the Company and its future operations.

28. NUMBER OF CASES FILED, IF ANY, AND THEIR DISPOSAL U/S 22 OF THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

The Company has zero tolerance for sexual harassment at work place and has a policy on prevention, prohibition and redressal of sexual harassment at work place in the line of provisions of Sexual Harassment of women at work place (Prevention, Prohibition and Redressal), Act, 2013 and the rules framed there under. Internal Complaints Committee (ICC) has been set up to redress complaints received regarding sexual harassment. No complaint of sexual harassment was received during the financial year 2020-21.

29. EXPLANATION OR COMMENTS ON QUALIFICATIONS, RESERVATIONS OR ADVERSE REMARKS OR DISCLAIMERS MADE BY THE AUDITORS AND THE PRACTICING COMPANY SECRETARY IN THEIR REPORTS

There were no qualifications, reservations or adverse remarks made either by the Auditors in their respective Audit Reports or by the company secretary in their secretarial report.

30.SHARES

(a) Buy Back of Securities

The Company has not bought back any of its securities during the year under review.

(b) Sweat Equity

The Company has not issued any Sweat Equity Shares during the year under review.

(c) Bonus Shares

The company has not issued bonus shares during the year under review.

(d) Employees Stock Option Plan

The Company has not provided any Stock Option Scheme to the employees.

31. LISTING WITH STOCK EXCHANGES

The Company confirms that it has paid the Annual Listing Fees for the year 2020-21 to BSE SME where the Company's shares are listed.

32. INVESTOR COMPLAINTS AND COMPLIANCE:

During the year, Company has not received any investor complaints and as on date no complaints are pending.

33.EARNINGS PER SHARE (EPS):

The earnings per share (EPS) is Rs.0.87 per share as at March 31st 2021as against Rs.0.88per share as at March 31st 2020.

34. ACKNOWLEDGEMENT

Your Directors would like to express their sincere appreciation for the assistance and co-operation received from the financial institutions, Government Authorities, customers, vendors and members during the year under review. Your directors also wish to place on record their deep sense of appreciation for the committed services by the Company's executives, staff and workers.

Date: 01.09.2021

Place: Udaipur

**For & on Behalf of Board of Directors
Mewar Hi-Tech Engineering Limited
CIN: L29299RJ2006PLC022625**

**Sd/-
Smt. Reena Rathore
Whole Time Director
DIN: 01748907**

**Sd/-
(Chattarsingh Rathore)
Managing Director
DIN: 01748904**

Annexure-I

POLICY FOR SELECTION AND APPOINTMENT OF DIRECTORS AND THEIR REMUNERATION CRITERIA OF SELECTION OF NON-EXECUTIVE DIRECTORS

The Non-executive Directors shall be of high integrity with relevant expertise and experience so as to have a diverse Board with Directors having expertise in the fields of marketing, finance, taxation, law, governance and general management.

In case of appointment of Independent Directors, the Nomination & Remuneration Committee shall satisfy itself with regard to the independent nature of the Directors vis-a-vis the Company so as to enable the Board to discharge its function and duties effectively.

The Nomination & Remuneration Committee shall ensure that the candidate identified for appointment as a Director is not disqualified for appointment under Section 164 of the Companies Act, 2013.

The Nomination & Remuneration Committee shall consider the following attributes / criteria, whilst recommending to the Board the candidature for appointment as Director.

- i. Qualification, expertise and experience of the Directors in their respective fields;
- ii. Personal, Professional or business standing;
- iii. Diversity of the Board.

In case of re-appointment of Non-executive Directors, the Board shall take into consideration the performance evaluation of the Director and his engagement level.

REMUNERATION

The Non-executive Directors may be paid sitting fees for each meeting of the Board attended by them, of such sum as may be approved by the Board of Directors within the overall limits prescribed under the Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 and reimbursement of expenses for participation in the Board Meetings.

EXECUTIVE DIRECTOR – CRITERIA FOR SELECTION / APPOINTMENT

For the purpose of selection of the Executive Director, the Nomination & Remuneration Committee shall identify persons of integrity who possess relevant expertise, experience & leadership qualities required for the position and shall take into consideration recommendation, if any, received from any member of the Board. The Committee will also ensure that the

incumbent fulfills such other criteria with regard to age and other qualifications as laid down under the Companies Act, 2013 or other applicable laws.

REMUNERATION FOR THE EXECUTIVE DIRECTOR:

At the time of appointment or re-appointment, the Executive Director shall be paid such remuneration as may be mutually agreed between the Company (which includes the Nomination & Remuneration Committee and the Board of Directors) and the Executive Director within the overall limits prescribed under the Companies Act, 2013.

The remuneration of Executive Director shall be subject to the approval of the Members of the Company in General Meeting.

The remuneration of the Executive Director comprises of fixed and variable component as per the provisions of Companies Act, 2013. The fixed component comprises salary, allowances, perquisites, amenities and retirement benefits.

REMUNERATION POLICY FOR THE SENIOR MANAGEMENT EMPLOYEES

In determining the remuneration of the Senior Management Employees, the Nomination & Remuneration Committee shall ensure the relationship of remuneration and performance benchmark is clear. The Executive Director will carry out the individual performance review based on the respective defined objectives, qualification, expertise, experience and other factors whilst recommending the annual increment and performance incentive to the Nomination & Remuneration Committee for its review and approval.

Annexure-II

Report on Corporate Governance for the year ended 2020-2021

In accordance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the report containing the details of Corporate Governance systems and processes at the company is as follows:

The Corporate Governance code is a professional system framed for directing and controlling the Organization. The purpose is to ensure compliance of local statutes and ensure safeguard and value addition in long term to the interest of its members, creditors, customers and employees. The Company has initiated the practice of incorporating the Corporate Governance Report in the Annual report in compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. A concerted attempt has been made to bring in transparency and professionalism to ensure ethical standard in business activities while implementing the Corporate Governance Code. The management places on record that the mandatory compliances to constitute various committees as required by SEBI (LODR), Regulations 2015, are in place.

1. COMPANY'S PHILOSOPHY ON CORPORATE GOVERNANCE

The Company is committed to ensure high standards of transparency and accountability in all its activities. The best management practices and high levels of integrity in decision making are followed to ensure long term wealth generation and creation of value for all the stakeholders. The company follows all the principles of corporate governance in its true spirit and at all times.

2. BOARD OF DIRECTORS

The Company is fully compliant with the Corporate Governance Norms in terms of constitution of the Board which is well blended with a good combination of Executive and Independent Directors. The Board has complete access to any information within the Company & of any employee of the Company.

Pursuant to SEBI (Listing Obligation and Disclosure Requirements), Regulations 2015, the Board meets at least once in every quarter to review quarterly/annual financial results and other items on the agenda and gap between two Board Meetings is not more than 120 Days. The Board is apprised of all the important information relating to the business of the Company including those listed in SEBI (Listing Obligation and Disclosure Requirements), 2015.

COMPOSITION & CATEGORY OF DIRECTORS:

During the Financial Year the Board of Directors comprised of Six Directors:

Three is Independent Director

One Whole Time Director

One CFO & Whole Time Director

One Managing Director

The independent directors have confirmed that they satisfy the criteria prescribed for an independent director as stipulated in the provisions of Section 149(6) of the Companies Act, 2013. All directors are appointed by the members of the Company. The directors bring to the board a wide range of experience and skills.

The Composition of the Board is in conformity with (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Attendance of Directors at Board Meetings during the financial year and at the last AGM and Number of Directorships/Committee positions of Directors as on 31st March, 2021, were as under:

Name of the Director	Category	No. of Meetings held	Number of other Directorships	Number of Committee positions held in other companies*	
				Member	Chairman
Shri Chattarsingh Harisingh Rathore,	Managing Director	13	02	0	0
Smt. Reena Rathore	Whole Time Director	13	01	0	0
Shri Vaibhav Singh Rathore	CFO & Whole Time Director	13	01	0	0

Shri. Ajit Singh Rathore	Independent Director	8	0	0	0
Shri. Munish Chandra Goyal (Resignation w.e.f. 27.07.2020)	Independent Director	8	01	0	0
Shri Ghanshyam Joshi	Independent Director	8	0	0	0
Shri Chandragupt Singh Chauhan (Appointment w.e.f. 25.10.2020)	Independent Director	8	0		

Note: Mr. Chandragupt Singh Chauhan (DIN: 09018039) has been appoint as an additional director (Non executive & independent) of the company.

Note: Mr. Munish Chandra Goyal has resigned from the post of Independent Directorship w.e.f 27.07.2020.

Responsibilities

The Board of Directors represents the interest of the Company's shareholders, in optimizing long-term value by providing the management with guidance and strategic direction on the shareholders' behalf. The Board has a formal schedule of matters reserved for its consideration and decision, which includes reviewing corporate performance, ensuring adequate availability of financial resources, regulatory compliance, safeguard interest of shareholders and reporting to shareholders.

Role of Independent Directors

Independent Directors play an important role in deliberations at the Board Meetings and bring to the Company their wide experience in the fields of finance, marketing and accountancy. This wide knowledge, their field of expertise and boardroom practices helps foster varied, unbiased, independent and experienced perspectives. The Company benefits immensely from their inputs in achieving its strategic direction. The Audit Committee, the Nomination & Remuneration Committee have a majority of Independent Directors. These Committees function within the defined terms of reference in accordance with the Companies Act, 2013, SEBI (LODR) Regulations, 2015 and as approved by the Board, from time to time. Board members ensure that their work in other capacities do not impinge on their fiduciary responsibilities as Directors of the Company.

Independent Directors

The Company has 3 (Three) Independent Directors on its Board. All the Directors viz. Ajit Singh Rathore, Ghanshyam Joshi and Chandragupt Singh Chauhan were appointed are not liable to retire by rotation. Their appointments were made in terms of the provisions of the Companies Act, 2013 and SEBI (LODR) Regulations, 2015.

All Independent Directors of the Company, at the time of their first appointment to the Board and thereafter at the first meeting of the Board in every financial year, give a declaration that they meet with the criteria of independence as provided in section 149 of the Companies Act, 2013. In the opinion of the Board, each independent director possesses appropriate balance of skills, experience and knowledge, as required. Each Independent Director possesses appropriate balance of skills, experience and knowledge, as required.

Familiarization Program for Independent Directors:

The objective of a familiarization program is to ensure that the non-executive directors are updated on the business environment and overall operations of the Company. This enables the non executive Directors to make better informed decisions in the interest of the Company and its stakeholders. A familiarization program was conducted for non-executive Directors on areas such as the core functions of the Company, overview of the industry, financials and performance of the Company.

Evaluation of Directors and Board:

With the objective of enhancing the effectiveness of the Board, the Nomination & Remuneration Committee formulated the methodology and criteria to evaluate the performance of the Board and each Director. The evaluation of the performance of the board is based on the

approved criteria such as the board composition, strategic planning, role of the Chairman, non-executive Directors and other senior management, assessment of the timeliness and quality of the flow of information by the Company to the Board and adherence to compliance and other regulatory issues.

Meetings of Independent Directors:

A separate Meeting of Independent Directors was held on 02nd December 2020 where they reviewed the performance of the non-executive directors and the Board as a whole, the Chairman of the Company, overall performance of the Board and assessed the quality, quantity and timeliness of flow of information between the Company, management and the Board.

3. Board Committees Composition of Board Committees:

Audit Committee

The Audit Committee pursuant to the provisions of Section 177 of the Companies Act, 2013 at the Board level acts as a link between the Auditors, the Management and the Board of Directors and oversees the financial reporting process. The Audit Committee interacts with the Internal Auditors, Statutory Auditors, Secretarial Auditors and reviews and recommends their appointment and remuneration, terms of appointment. The Audit Committee is provided with all necessary assistance and information for enabling them to carry out its function effectively.

THE TERMS OF REFERENCES OF THE AUDIT COMMITTEE ARE AS UNDER:

Overseeing of the Company's financial reporting process and the disclosures of its financial information to ensure that the financial statements are correct, sufficient and credible.

- 1) Recommending to the Board, the appointment, re-appointment and, if required, the replacement or removal of the Statutory Auditor and the term of appointment with fixation of audit fees.
- 2) Approval of payment to Statutory Auditors for any other services rendered by them.
- 3) Reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the Board for approval, with particular reference to:
 - Matters required to be included in the director's responsibility statement to be included in the Board's Report in terms of clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013;
 - Changes, if any, in accounting policies, significant adjustment made in the financial statements arising out of audit findings.

- Disclosure of any related party transactions and qualifications in the draft audit report.
 - Compliance of listing and other legal requirements relating to financial statements.
- 4) Reviewing with the management the quarterly financial statements before submission to the Board for approval.
 - 5) Reviewing with the management, performance of statutory and internal auditors, and adequacy of the internal control systems.
 - 6) Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading department, reporting structure coverage and frequency of internal audit.
 - 7) Discussion with internal auditors or any significant findings and follow up there on.

The **Composition of Audit Committee** comprises as follows:

Name	Category	Designation
Shri Ajit Singh Rathore	Non- Executive & Independent Director	Member
Shri Ghanshyam Joshi	Non- Executive & Independent Director	Chairman
Shri Chandragupt Singh Chauhan	Non- Executive & Independent Director	Member

The Committee's composition meets with requirements of Section 177 of the Companies Act, 2013 and Regulation 18 of SEBI (Listing Obligation and Disclosure Requirement), Regulations, 2015. Members of the Audit Committee are financially literate and have relevant finance / audit exposure.

Powers and Roles of the Committee:

The Audit Committee assists the board in the dissemination of financial information and in overseeing the financial and accounting processes in the company. The terms of reference of the audit committee covers all matters specified in SEBI (LODR) Regulations, 2015 and also those specified in section 177 of the Companies Act, 2013. The audit committee reviews the compliance with legal and statutory requirements, the half yearly and annual financial

statements and related party transactions and reports its findings to the Board. The committee also recommends the appointment of internal auditor, statutory auditor. The committee also looks into those matters specifically referred to it by the Board.

Nomination and Remuneration committee

The terms of reference of the committee inter alia include the following:

- 1) formulation of the criteria for determining qualifications, positive attributes and independence of a director and recommend to the board of directors a policy relating to, the remuneration of the directors, key managerial personnel and other employees;
- 2) formulation of criteria for evaluation of performance of independent directors and the board of directors;
- 3) devising a policy on diversity of Board of Directors;
- 4) identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the board of directors their appointment and removal.
- 5) Whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors.
- 6) Any other matter as the Board may decide from time to time.
- 7)

COMPOSITION of COMMITTEES

Nomination and Remuneration Committee:

During the year under review the Nomination and Remuneration Committee has met two times during the year. Further, the Composition of the Nomination and Remuneration Committee Meeting is as follows:

Name	Category	Designation
Shri Ajit Singh Rathore	Non- Executive & Independent Director	Member
Shri Ghanshyam Joshi	Non- Executive & Independent Director	Chairman
Shri Chandragupt Singh Chauhan	Non- Executive & Independent Director	Member

Stakeholders Relationship Committee:

During the year under review the Nomination and Remuneration Committee has met two times during the year. Further, the Composition of the Nomination and Remuneration Committee Meeting is as follows:

Name	Category	Designation
Shri Ajit Singh Rathore	Non- Executive & Independent Director	Member
Shri Ghanshyam Joshi	Non- Executive & Independent Director	Chairman
Shri Chandragupt Singh Chauhan	Non- Executive & Independent Director	Member

Investor Grievance Redressal:

SEBI vide Circular Ref: CIR/OIAE/2/2011 dated June 3, 2011 informed the company that they had commenced processing of investor complaints in a web based complaints redress system “SCORES”. Under this system, all complaints pertaining to companies are electronically sent through SCORES and the companies are required to view the complaints pending against them and submit Action Taken Report (ATRs) along with supporting documents electronically in SCORES. During the year company did not receive any complaints from investors.

Remuneration policy:

The Company’s Remuneration Policy for Directors, Key Managerial Personnel and other employees is annexed to the Directors’ Report. Further, the Company has devised a Policy for performance evaluation of Independent Directors, Board, Committees and other individual Directors.

The Company’s remuneration policy is directed towards rewarding performance based on review of achievements periodically. The remuneration policy is in consonance with the existing industry practice.

Directors/KMP Remuneration

Sr. No.	Name	Amount of remuneration
1.	Shri Chattarsingh Harisingh Rathore (Managing Director)	12,00,000/- P.A.
2.	Shri Vaibhav Rathore (CFO and Whole Time Director)	600,000/- P.A.
3.	Mrs. Reena Rathore (Whole Time Director)	NIL
4.	Miss Rimika Talesara (Company Secretary)	2,51,000/- P.A.

Transactions with Non-Executive Directors:

There was no pecuniary relationship or transactions of the non-executive director's vis-à-vis the Company during the Financial Year ended 31st March, 2021.

Details of shareholding of Directors as on 31st March, 2021:

The shareholding details of the Directors as at March 31st 2021 are included in MGT-9 forming part of the Director's Report.

4. CODES AND STANDARDS

Vigil Mechanism:

Pursuant to the provisions of section 177(9) & (10) of the Companies Act, 2013 and as per Regulation 22 of SEBI (LODR) Regulations, 2015, Company have made a formal Vigil Mechanism Policy which provides detailed procedure to protect the interest of employees of the company. The Audit Committee oversees the vigil mechanism. No employee has been denied access to the Audit Committee.

Prevention of Insider Trading:

Your Company has formulated and adopted a Code for Prevention of Insider Trading Practices in accordance with the model code of conduct as prescribed under the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, as amended. The code is applicable to all directors, senior employees and their dependents. The said persons are restricted from dealing in the securities of the Company during the 'restricted trading periods' notified by the Company, from time to time.

Code of Conduct for the Board of Directors and the Senior Management:

The standards for business conduct provide that the directors and the senior management will uphold ethical values and legal standards as the company pursues its objectives, honesty and personal integrity will not be compromised under any circumstances. As provided under Regulation 5 of SEBI (LODR) Regulations, 2015, the Board members and senior management personnel have affirmed compliance with the code of conduct for the financial year 2020-2021.

A declaration signed by the Company's Managing Director is published in this Report.

Declaration under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:

Your Directors state that during the year under review, there were no cases filed pursuant to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

Declaration by Board:

Board hereby confirms that Company has devised proper systems to ensure compliance of all laws applicable to the company.

5. DISCLOSURES

Related Party Transaction:

There have been no materially significant related party transactions with the company's promoters, directors, the management, their subsidiaries or relatives which may have potential conflict with the interests of the company at large. The necessary disclosures regarding the transactions are given in the notes to accounts.

Details of RPT are attached in financial statements of the company.

The Company has also formulated a policy for determining the Material RPT and the details of such policies for dealing with RPT.

Accounting Treatment:

There has been no difference in the Accounting treatment.

Dematerialization of shares:

Company's shares are available for trading with National Securities Depository Ltd. (NSDL) and with Central Depository Services (India) Limited (CDSL). The ISIN allotted to company's equity shares is INE957U01011.

Total number of Shares held in dematerialized form with CDSL & NSDL as on 31st March, 2021 is 3482000 Shares i.e. 89.20% of total shares of Company. Members are requested to convert their shares in demat form for easy transaction.

Means of Communication:

The main source of information for the shareholders is the Annual Report which includes inter alia, the Director's Report, the shareholder's information and the audited financial results. Company recognizes the importance of regular dialogue with its shareholders to ensure that the Company's strategy is clearly understood.

Shareholders have an opportunity to attend the Annual General Meeting at which the business outlook is presented and relevant aspects of the company's operations are discussed. In addition, the registered office as well as the Registrar's office (RTA), serves as a contact point for shareholders on issues such as share transfers, dividends and announcements.

The Ministry of Corporate Affairs (MCA) and the Companies Act, 2013, has taken a "Green Initiative" in corporate governance by allowing paperless compliances by the Companies through electronic mode. The SEBI (LODR) Regulations, 2015 and the Companies Act, 2013 permits companies to send soft copies of the annual report to all those shareholders who has registered their e-mail addresses with the Company/Depository participant. The Company has been requesting the shareholders holding shares in demat form to register/update their e-mail addresses to the company/ depository participants. Accordingly, the annual report for 2020-2021, notice for AGM etc., are being sent in electronic mode to shareholders who have registered their e-mail addresses with the Company/depository participants. For those shareholders who have not opted for the above, the same are being sent in physical form. Members who hold share in physical form are requested to contact Miss RIMIKA TALESARA, Company Secretary and Compliance officer, or at the registered office of the Company or Beetal Financial & Computer Services (P) Ltd. (Registrar and Share Transfer Agent).

The annual report also contains a section on "Shareholder's Information" which inter alia provides information relating to the AGM date, time and venue, and other corporate governance information as required under SEBI (LODR) Regulations, 2015, The Company has designated the e-mail id - investor@kingsoncrusher.com to enable the shareholders to register their grievances.

MD and CFO Certification:

The Managing Director / Chief Financial Officer of the Company give annual certification on financial reporting and internal controls to the Board in terms of SEBI (LODR) Regulations, 2015. The annual certificate given by the Managing Director and the Chief Financial Officer is published in this Report.

6. RECONCILIATION OF SHARE CAPITAL:

A quarterly audit was conducted by a practicing company secretary, reconciling the issued and listed capital of the company with the aggregate of the number of shares held by investors in physical form and in the depositories and the said certificates were submitted to the stock

exchanges within the prescribed time limit. As on 31st March 2021, there was no difference between the issued and listed capital and the aggregate of shares held by investors in both physical form and in electronic form with the depositories.

7. INFORMATION TO SHAREHOLDERS:

A brief resume of the director reappointed together with the nature of his experience and details of the other directorships held by him is annexed to the Notice convening the Annual General Meeting.

8. NOMINATION FACILITY:

Most of the shares of the company are in demat form and shareholders are requested to contact their Depository Participants for availing nomination facility.

9. COMPLIANCE CERTIFICATE OF THE AUDITORS:

Certificate from the Company's Auditors, M/s. Sagar Golchha & Co., confirming compliance with conditions of Corporate Governance as stipulated in SEBI (LODR) Regulations, 2015, is attached to this Report.

10. COMPLIANCE:

The Company has complied with the mandatory requirements as stipulated under Regulation 34(3) and 53 of SEBI (LODR) Regulations, 2015. The Company has submitted the quarterly compliance status report to the stock exchanges within the prescribed time limit, as and when required.

11. GOING CONCERN:

The directors are satisfied that the Company has adequate resources to continue its business for the foreseeable future and consequently consider it appropriate to adopt the going concern basis in preparing the financial statements.

12. THE BOARD:

Independent Directors possess the requisite qualification and experience to contribute effectively to the company in their capacity as independent director.

13. GENERAL BODY MEETINGS

The last three Annual General Meetings of the Company were held as under:

Financial Year	Date	Time	Venue
2019-2020	28 th September, 2020	11.00 A.M.	Video Conferencing (“VC”)/ Other Audio Visual Means (“OAVM”)
2018-2019	26 th September, 2019	11.00 A.M.	1, Hawa Magri Industrial Area, Sukher, Udaipur (Raj.).
2017-2018	29 th September, 2018	11.00 A.M.	1, Hawa Magri Industrial Area, Sukher, Udaipur (Raj.).

- There was no resolution passed by the shareholders through postal ballot, in the financial year 2020-21

14. GENERAL SHAREHOLDER INFORMATION

Day, Date and Time	Friday, 24 th Day of September, 2021 at 11:30 A.M.
Mode of Meeting	Video Conferencing (“VC”)/ Other Audio Visual Means (“OAVM”)

- **Financial Year** : 01st April, 2020 to 31st March, 2021
- **Date of Book Closure** : Saturday, 18th September, 2021 to Friday, 24th September, 2021 (both days Inclusive)
- **Listing on Stock Exchange** : BSE Limited
25th floor Phiroze Jeejeebhoy Towers,
Dalal Street Fort, Mumbai- 400001
- **Stock Codes (for shares)** : 540150
- **Symbol (for shares)** : MHEL
- **ISIN Number** : INE957U01011
- **Registrar and Transfer Agents :** Beetal Financial & Computer Services (P) Ltd.

- **Share Transfer System** : BEETAL HOUSE, 3rd Floor, 99 Madangir,
Behind LSC Near Dada Harsukhdas
Mandir, New Delhi-110062,
Phone: 011-29961281-83 Fax: 011-
29961284
Email: beetal@beetalfinancial.com
Web Site: www.beetalfinancial.com
- **Payment of Listing Fees** : Annual Listing fees as applicable has been
duly paid

The Company's shares are traded on SME (BSE). Physical Shares which are lodged with the Registrar and Transfer Agents/ or with the Company for transfer are processed and returned to the Shareholders duly transferred within the time limit stipulated under the Listing Agreement subject to the documents being in order. Members holding shares in physical form are requested to get them dematerialized for easy transactions on stock exchange.

DECLARATION OF CODE OF CONDUCT

This is to confirm that the Company has adopted a code of conduct for its Board of Directors and Senior Management Personnel. This Code is available at the Company's Registered Office and website.

I confirm that Board of Directors and Senior Management Personnel of the Company have, in respect of the financial year ended March 31, 2021, affirmed compliance with the Code of Conduct as applicable to them.

**For & on behalf of the Board of Directors:
Mewar Hi-Tech Engineering Limited**

Date: 01.09.2021

Place: Udaipur

Sd/-

**(Chattarsingh Rathore)
Managing Director
DIN: 01748904**

**Sd/-
(Smt. Reena Rathore)
Director
DIN: 01748907**

CEO/CFO CERTIFICATION

Under Regulation 17(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

To,
The Board of Directors
Mewar Hi-Tech Engineering Limited

We, Chattarsingh Harisingh Rathore, Managing Director and Vaibhav Singh Rathore, Whole Time Director cum CFO of Mewar Hi-Tech Engineering Limited, certify that:

1. We have reviewed the financial statements and the cash flow statement for the year and that to the best of our knowledge and belief:
 - a) These statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - b) These statements together present a true and fair view of the state of affairs of the company and are in compliance with existing accounting standards, applicable laws and regulations.
2. There are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's code of Conduct.
3. We accept overall responsibility for establishing and maintaining internal control for financial reporting and that we have evaluated the effectiveness of internal control systems of the company pertaining to financial reporting and that we have disclosed to the statutory auditor and the audit committee, deficiencies in the design or operations of such internal controls, if any of which we are aware and the steps we have taken or propose to take to rectify these of the Board. The auditors and audit committee are apprised of any corrective action taken with regard to significant deficiencies in the design or operation of internal controls.
4. We indicate to the auditors and to the audit committee:
 - a) Significant changes in internal control over financial reporting during the year;
 - b) Significant changes in accounting policies during the year; and that the same have been disclosed in the notes to the financial statements; and

- c) Instances of significant fraud of which we have become aware of and which involve management or other employees having significant role in the company's internal control system and financial reporting. However, during the year there was no such instance.

**For & on behalf of the Board of Directors
M/s Mewar Hi-Tech Engineering Limited**

Date 01.09.2021

Place: Udaipur

**Sd/-
(Chattarsingh Harisingh Rathore)
Managing Director
DIN: 01748904**

**Sd/-
(Vaibhav Singh Rathore)
WTD cum CFO
DIN: 03438743**

AUDITOR'S CERTIFICATE ON CORPORATE GOVERNANCE

To,
The Members of
Mewar Hi-Tech Engineering Limited,
Udaipur (Raj.)

We have examined the compliance of conditions of corporate governance by Mewar Hi-Tech Engineering Limited ("the Company"), for the year ended on 31st March, 2021 as stipulated in Chapter IV of SEBI (LODR) Regulations, 2015 of the said Company with stock exchanges.

The compliance of conditions of corporate governance is the responsibility of the management. Our examination was limited with respect to procedures and implementation thereof adopted by the Company for ensuring the compliance with the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in Chapter IV of SEBI (LODR) Regulations, 2015

We further state that such compliance is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For M/s SAGAR GOLCHHA & Co.
Chartered Accountants

FRN NO. 007755C

Date: 01.09.2021

Place: Udaipur

Sd/-
(CA Sagar Golchha)
Partner
M.No. 076797

Annexure-III

MANAGEMENT DISCUSSION & ANALYSIS REPORT

BUSINESS OVERVIEW:

Your Company is a reputed and well known Udaipur based Company having its presence in construction services industry, since many years.

Your Company is committed to excellence in quality of its equipment and dedicated to customers and associates. We are committed to provide the best quality crushers, screens & customized size reduction equipment and satisfactory after sales services at competitive prices. We timely deliver out highly quality equipment to meet customer requirement. We provide professional advice to our customer, find innovative solutions to their specific requirements and treat them as our business partners, our professional approach, after sales service and timely supply of spare parts at most reasonable prices make us ideal choice as business partners.

OPPORTUNITIES:

The management believes that Government of India's efforts to improve economic growth in the Country by providing opportunities for start-ups and infrastructure development is giving hopes to entrepreneurs for exploring new opportunities. The Company is also looking to tap such opportunity at the right moment.

The 'Make in India' is another initiative of the present government that will have a far-reaching impact on the crushing industry. To reap the resulting benefits, industry leaders are currently drawing up strategies involving quick plant deliveries, easy scalability, and mobile crushing solutions that promise minimum relocation costs.

THREATS:

Any growing economy offers a host of opportunities. The challenge comes from the fact that competition also keeps increasing alongside and this is becoming all the more prominent with the continuous arrival of newer entrepreneurs in the market. While this is good for the larger population and the economy, it does put pressure on profitability of business. Not only newer entrepreneurs, technological advancement and the onset of on-line services have made it much easier to conduct businesses without too much need for supporting brick and mortar

infrastructure. Not to mention that there is support from conducive government policies to anybody wanting to start a new business.

The rising cost of raw materials is a major hurdle facing the crushing and screening industry. Setting up a crushing unit involves high cost and unavailability of raw material on time only adds to the cost. Another challenge facing this industry involves strict government regulations. Ban on mining activities in the past had dealt a severe blow to the industry. Since environmental issues involving quarries in various states are yet to be entirely resolved, overall demand will continue to suffer.

SEGMENT REPORTINGS:

The Company is exclusively engaged in manufacturing of construction equipments and revenues are mainly derived from this activity. Accounting Standard 17 regarding Segment-wise Reporting issued by the Institute of Chartered Accountants of India and notified under the Companies (Accounting Standards) Rules, 2006 does not apply to your Company since revenues are derived from only one segment.

OUTLOOK:

This industrial sector is on the cusp of a recovery supported by an improvement in macroeconomic fundamentals and policy environment. The combination of strong sales, weak market conditions that support rapid business development and a strengthening commercial market provide us with a great opportunity to generate strong free cash flows and disproportionately scale our business in Financial Year 2020-21. Our performance for the year underlines the effectiveness of our resilient and differentiated business model that is anchored by the strength of the Mewar Hi-Tech Engineering Limited brand and the ability that gives us to attract partners and customers across. Our presence in Udaipur is strong brand equity and large numbers of new projects are handled by us which leads us to a good position in market.

RISKS AND CONCERNS:

Your Company is exposed to internal and external risks. The internal risks relates to the risks within the Company due to change in management, personnel and policies, lapses / inadequacy in existing infrastructure facilities, delinquencies on the part of employees, staff attrition, misfeasance etc. The external risks can be associated to those factors which are not within the control of the Company like change in interest rates, government regulations, competition from others operating in similar business etc.

RISK MANAGEMENT:

Comprehensive risk management practices form an integral part of the operations of Company. With ups and downs, volatility and fluctuations in the business in which Company operates, is exposed to a slew of complex, variable risks and uncertainties in the normal course of business.

Since such variations can cause deviations in the results from operations and affect our financial state, the focus on risk management is high. The rapid and continuous changes in the business environment have ensured that the organization becomes increasingly risk focused to achieve its strategic objectives. Company policies ensure timely identification, management and mitigation of relevant risks, such as credit risk, liquidity risk, interest rate risk, operational risk, reputational and regulatory risks etc., which help the Company move forward with vigor.

INTERNAL CONTROL SYSTEMS & ADEQUACY:

Company has always focused on maintain a strong internal control system which is commensurate with our size and nature of business. The Company's internal controls are structure in a manner that ensure reasonable assurance with regard to maintaining of proper accounting controls, monitoring of operations, protecting assets from unauthorized use or losses, executing transactions with proper authorization and ensuring compliance of corporate policies, laws, accounting standards for ensuring reliability of financial reporting

Company has documented procedures covering all financial and operating functions. Company has robust internal audit program, where the Internal Auditors, an independent firm of chartered accountants, conduct a risk-based audit with a view to not only test adherence to laid down policies and procedures but also to suggest improvements in processes and systems. Internal audit observations and recommendations are reported to the Audit Committee, which monitors the implementation of such recommendations. Suggestions for improvements are considered and the Audit Committee follows up on implementation of corrective actions. The Company also meets the Company's Statutory Auditors to ascertain, inter alia, their views on the adequacy of internal control systems and keeps the Board of Directors posted with its observations.

DISCUSSION ON FINANCIAL PERFORMANCE AND OPERATIONAL HIGHLIGHTS:

The financial and other operational performance of the Company for the year under review has been discussed in detail in the Directors' Report. The Cash-Flow Statement and the Balance Sheet are annexed to this Annual Report.

HUMAN RESOURCES:

Human resource development is considered vital for effective implementation of business plans. The Company aims to align HR practices with business goals, motivate people for higher performance and build a competitive working environment. Productive high performing employees are vital to the company's success. The Board values and appreciates the contribution and commitment of the employees towards performance of your Company during the year. In pursuance of the Company's commitment to develop and retain the best available

Talent, the Company continued to offer in house training program to staff members in executive development, leadership and management skills.

The Company had organized various training programs for upgrading the skill and knowledge of its employees in different operational areas. The Company also sponsored its employees at various levels to attend various seminars and programs conducted by various organizations and institutions so as to update their knowledge and to keep them abreast of all the developments in their respective fields. Employee relations remained cordial and the work atmosphere remained congenial during the year.

CAUTIONARY STATEMENT:

Statements in this report on Management Discussion and Analysis describing the company's objectives, projections, estimates, expectations or predictions may be "forward looking statements" within the meaning of applicable laws or regulations. These statements are based on certain assumptions and expectations of future events. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include economic conditions affecting global and domestic demand-supply, finished goods price in the domestic and overseas markets in which the Company operates, raw-materials cost and availability, changes in Government regulations, tax regimes, economic developments within or outside India and other factors such as litigation and industrial relations, natural calamities, etc. over which the company does not have any direct control. The Company assumes no responsibility to publicly amend, modify or revise any forward-looking statements, on the basis of any subsequent developments, information or events or due to change in internal or external factors.

ANNEXURE -IV
Form No.MGT-9
EXTRACT OF ANNUAL RETURN
As on the financial year ended on 31st March, 2021
[Pursuant to Section 92(3) of the Companies Act, 2013 and rule 12(1) of the
Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

CIN	L29299RJ2006PLC022625
Registration Date	08.06.2006
Name of the Company	MEWAR HI-TECH ENGINEERING LIMITED
Category/Sub-Category of the Company	COMPANY LIMITED BY SHARES/INDIAN NON-GOVERNMENT COMPANY
Address of the Registered office and contact detail	1 HAWA MAGRI, INDUSTRIAL AREA, SUKHER, UDAIPUR, RAJASTHAN- 313001
Whether listed company	Yes
Name, Address and Contact details of Registrar and Transfer Agent, if any	BEETAL FINANCIAL & COMPUTER SERVICES (P) LTD. BEETAL HOUSE, 3rd Floor, 99 Madangir, Behind LSC, Near Dada Harsukhdas Mandir, New Delhi-110062, Phone: 011-29961281-83 Fax: 011-29961284 Email: beetal@beetalfinancial.com , Web Site: www.beetalfinancial.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

Sr. No.	Name and Description of main products/ services	NIC Code of the Product/ service	% to total turnover of the company
1.	Manufacture of other special purpose machinery, equipment n.e.c. including part and accessories.	299	100%

Non Resident Indians	--	--	--	--	--	--	--	--	--
Overseas Corporate Bodies	--	--	--	--	--	--	--	--	--
Foreign Nationals	--	--	--	--	--	--	--	--	--
Clearing Members	--	--	--	--	9000	--	9000	0.23%	0.23%
Trusts	--	--	--	--	--	--	--	--	--
Foreign Bodies - D R	--	--	--	--	--	--	--	--	--
HUF	3000	--	3000	0.077%	6000	--	6000	0.15%	0.073%
Sub-total (B)(3):-	1319600	421600	1741200	44.60%	1717200	-	1717200	43.99%	0.61%
Total Public Shareholding (B)=(B)(1) + (B)(2)+ (B)(3)	1319600	421600	1741200	44.60%	1717200	-	1717200	43.99%	0.61%
C. Shares held by Custodian for GDRs & ADRs	-	--	--	-	-	--	--	-	--
Grand Total (A+B+C)	3482000	421600	3903600	100%	3903600	-	3903600	100%	--

(ii) *Shareholding of Promoters*

Sr. No	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% change in share holding during the year
		No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total	No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total	
1.	REENA RATHORE	8,94,000	22.90%	--	926,000	23.72%	--	0.82%
2.	CHATTARSINGH HARISINGH RATHORE	1,020,560	26.14%	--	1,020,560	26.14%	--	--
3.	MEWAR TECHNOCAST PRIVATE	116,000	2.97%	--	--	--	--	(2.97%)
4.	VAIBHAV SINGH RATHORE	67,840	1.74%	--	183,840	4.71%	--	2.97%
5.	SHIV SINGH RATHORE	24,000	0.61%	--	--	--	--	(0.61%)
6.	FATAH SINGH RATHORE	24,000	0.61%	--	24,000	0.61%	--	--
7.	TEJ SINGH RATHORE	8,000	0.20%	--	--	--	--	(0.20%)
8.	HARI SINGH	8,000	0.20%	--	8,000	0.20%	--	--
9.	NEHA SHAKTAWAT	--	--	--	24,000	0.61%	--	0.61%
	Total	2162400	55.40%	--	2,186,400	56.01%	--	0.61%

(iii) *Change in Promoters' Shareholding (please specify, if there is no change)*

Particulars	Shareholding		Cumulative (WHAT IS THIS) Shareholding during the year	
	No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
At the beginning of the year	2162400	55.40%	2162400	55.40%
REENA RATHORE	8,94,000	22.90%	8,94,000	22.90%
CHATTARSINGH HARISINGH RATHORE	1020560	26.14%	1020560	26.14%
MEWAR TECHNOCAST PRIVATE LIMITED	116000	2.97%	116000	2.97%
VAIBHAV SINGH RATHORE	67840	1.74%	67840	1.74%
SHIV SINGH RATHORE	24000	0.61%	24000	0.61%
FATAH SINGH RATHORE	24000	0.61%	24000	0.61%
TEJ SINGH RATHORE	8000	0.20%	8000	0.20%
HARI SINGH	8000	0.20%	8000	0.20%
At the end of the year	2,186,400	56.01%	2,186,400	56.01%
REENA RATHORE	926,000	23.72%	926,000	23.72%
CHATTARSINGH HARISINGH RATHORE	1,020,560	26.14%	1,020,560	26.14%
MEWAR TECHNOCAST PRIVATE LIMITED	--	--	--	--
VAIBHAV SINGH RATHORE	183,840	4.71%	183,840	4.71%
SHIV SINGH RATHORE	--	--	--	--
FATAH SINGH RATHORE	24,000	0.61%	24,000	0.61%
TEJ SINGH RATHORE	--	--	--	--

HARI SINGH	8,000	0.20%	8,000	0.20%
NEHA SHAKTAWAT	24,000	0.61%	24,000	0.61%

(iv) **Shareholding Pattern of top ten Shareholders:**

(Other than Directors, Promoters and Holders of GDRs and ADRs):

Sr. No.	Name of Shareholder	Shareholding at the beginning of the Year i.e. 01.04.2020		Change in shareholding			Shareholding at the end of the Year i.e. 31.03.2021	
		No. of shares hold	% of holding	Increase/decrease in shareholding & Reason	Date	No. of Shares	No. of shares hold	% of holding
1.	Smt. Rajshree Ranawat	216000	5.53%	-	-	-	216000	5.53%
2.	Shri Shivraj Singh Shaktawat	456000	11.68%	-			456000	11.68%
3.	M/s Rolcast India	120000	3.07%	-	-	-	120000	3.07%
4.	Shri Shanti Lal Jain	98000	2.51%	-	-	-	98000	2.51%
5.	Shri Addul Hafiz	80000	2.05%	-	-	-	80000	2.05%
6.	Kalpana Sharma	--	--	--	--	--	203400	5.21%
7.	Himanshu Sharma	--	--	-	-	-	66000	1.69%

8.	Rajendra Singh Panwar	44000	1.13%		-	-	44000	1.13%
9.	Himmat Singh Rathore	42000	1.08%	-	-	-	42000	1.08%

V. SHAREHOLDING OF DIRECTORS AND KEY MANAGERIAL PERSONNEL:

Shareholding of Directors and Key Managerial Personnel	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
	No. of Shares	% of total shares of the company	No. of shares	% of total shares of the company
At the beginning of the year				
REENA RATHORE	894000	22.9%	8,94,000	22.9%
CHATTARSINGH HARISINGH RATHORE	1020560	26.14%	1020560	26.14%
VAIBHAV SINGH RATHORE	67840	1.74%	67840	1.74%
MUNISH CHANDRA GOYAL	--	--	--	--
AJIT SINGH RATHORE	--	--	--	--
RIMIKA TALESARA	--	--	--	--
At the end of the year				
REENA RATHORE	926000	23.72%	926000	23.72%
CHATTARSINGH HARISINGH RATHORE	1020560	26.14%	1020560	26.14%
VAIBHAV SINGH RATHORE	183840	4.71%	183840	4.71%
MUNISH CHANDRA GOYAL	--	--	--	--

AJIT SINGH RATHORE	--	--	--	--
GHANSHYAM JOSHI	--	--	--	--
RIMIKA TALESARA	--	--	--	--

VI. INDEBTEDNESS

Indebtedness of the Company including interest outstanding /accrued but not due for payment

Particulars	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
Principal Amount	13,240,793	100175591	--	113,416,384
Change in Indebtedness during the financial year				
* Addition/ Reduction	144,892,321	(35861677)	--	109,030,644
Indebtedness at the end of the financial year				
Principal Amount	158,133,114	64313914	--	222,447,028
Total			--	

VII. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

SN.	Particulars of Remuneration	Name of MD/WTD/ Manager			Total Amount
		Shri Chattarsingh Harisingh Rathore	Smt. Reena Rathore	Shri Vaibhav Singh Rathore	TOTAL

1	Gross salary P.A.				
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	12,00,000	Nil	6,00,000	18,00,000
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	Nil	Nil	Nil	Nil
	(c) Profits in lieu of salary under section 17(3) Income- tax Act,	Nil	Nil	Nil	Nil
2	Stock Option	Nil	Nil	Nil	Nil
3	Sweat Equity	Nil	Nil	Nil	Nil
4	Commission - as % of profit - others, specify - others, specify	Nil	Nil	Nil	Nil
5	Others, please specify	Nil	Nil	Nil	Nil
	Total (A)	12,00,000	Nil	6,00,000	18,00,000
	Ceiling as per the Act				

B. Remuneration to other Directors

SN.	Particulars of Remuneration	Name of Directors				Total Amount
		-----	----	----	---	
1	Independent Directors	--	--	--	--	--
	Fee for attending board committee meetings	--	--	--	--	--
	Commission	--	--	--	--	--
	Others, please specify	--	--	--	--	--
	Total (1)	--	--	--	--	--
2	Other Non-Executive Directors	--	--	--	--	--
	Fee for attending board committee meetings	--	--	--	--	--
	Commission	--	--	--	--	--
	Others, please specify	--	--	--	--	--
	Total (2)	--	--	--	--	--
	Total (B)=(1+2)	--	--	--	--	--
	Total Managerial Remuneration	--	--	--	--	--

	Overall Ceiling as per the Act	--	--	--	--	--
--	--------------------------------	----	----	----	----	----

C. Remuneration to Key Managerial Personnel other than MD/MANAGER/WTD

SN	Particulars of Remuneration	Key Managerial Personnel			
		CEO	CS	CFO	Total
1	Gross salary	--	Ms Rimika Talesara	Vaibhav Singh Rathore	--
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	--	2,51,000/-	--	2,51,000/-
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	--	--	--	--
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	--	--	--	--
2	Stock Option	--	--	--	--
3	Sweat Equity	--	--	--	--
4	Commission	--	--	--	--
	- as % of profit	--	--	--	--
	others, specify...	--	--	--	--
5	Others, please specify	--	--	--	--
	Total	--	2,51,000/-	--	2,51,000/-

VIII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES:

Type	Section of the Companies Act	Brief Description	Details of Penalty / Punishment/ Compounding fees imposed	Authority [RD / NCLT/ COURT]	Appeal made, if any (give Details)
A. COMPANY					
Penalty	No Penalty, Punishment, Compounding offences during the F.Y.				
Punishment					
Compounding					

B. DIRECTORS	
Penalty	No Penalty, Punishment, Compounding offences during the F.Y.
Punishment	
Compounding	
C. OTHER OFFICERS IN DEFAULT	
Penalty	No Penalty, Punishment, Compounding offences during the F.Y.
Punishment	
Compounding	

Date:01.09.2021

Place: Udaipur

For & on Behalf of Board of Directors
Mewar Hi-Tech Engineering Limited
CIN: L29299RJ2006PLC022625

Sd/-
Smt. Reena Rathore
Whole Time Director
DIN: 01748907

Sd/-
(ChattarSingh Harsingh Rathore)
Managing Director
DIN: 01748904

Sd/-
(Vaibhav Singh Rathore)
Whole Time Director & CFO
DIN: 03438743



PANKAJ KUMAR SHARMA

Company Secretaries

B-4, Pink Tower, Lal Kothi,
Tonk Road, Jaipur, Raj 302012

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31.03.2021

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration of Personnel) Rules, 2014]

To,
The Members,
MEWAR HI-TECH ENGINEERING LIMITED,
CIN: L29299RJ2006PLC022625
Regd. Office: 1, HawaMagri, Industrial Area Sukher,
Udaipur, Rajasthan-313001

I have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by MEWAR HI-TECH ENGINEERING LIMITED (name of the company)(hereinafter called “the company”). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the MEWAR HI-TECH ENGINEERING LIMITED (name of the company's) books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the company has, during the audit period covering the financial year ended on 31.03.2021 complied with the statutory provisions listed here under and also that the Company has proper Board processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by MEWAR HI-TECH ENGINEERING LIMITED (“the Company”) for the financial year ended on 31.03.2021 according to the provisions of:

- I. The Companies Act, 2013 (the Act) and the rules made there under for specified Sections and Rules notified and came into effect from respective dates and a list of documents verified is as per Annexure A
- II. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under;
- III. The Depositories Act, 1996 and the Regulations and Bye-laws framed there under;
- IV. Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **(Not applicable to the Company during the Audit Period)**;
- V. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):
 - a. The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - b. The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015.
 - c. The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009;
 - d. The Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014; **(Not applicable to the Company during the Audit Period)**
 - e. The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;**(Not applicable to the Company during the Audit Period)**
 - f. The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
 - g. The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; **(Not applicable to the Company during the Audit Period)**
 - h. The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998; **(Not applicable to the Company during the Audit Period)**
 - i. The Securities and Exchange Board of India (Listing Obligations and Disclosures Requirement) Regulations, 2015.
- VI. The Company has complied with the following Laws specifically applicable to the Company:(as certified by the Management)
 - a. Water (Prevention & control of pollution) Act 1974 and Air (Prevention &

- control of pollution) Act 1981
- b. Labor laws pertaining to ESI and PF, Factories Act, Payment of Bonus Act, Minimum wages Act, payment of Wages Act, etc.
- c. Negotiable Instrument Act, 1881
- d. Code of Civil Procedure, 1908

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by the Institute of Company Secretaries of India.
- (ii) The Listing Agreements entered into by the Company with BSE Stock Exchange(s).

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

I further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors as on close of the financial year. Following changes took place in the composition of the Board of Directors:

Mr. Munish Chandra Goyal has resigned from the post of Independent Directorship w.e.f 27.07.2020.

Mr. Chandragupt Singh Chauhan was appointed as Independent director of the company w.e.f. 25.10.2020

Adequate notice has been given to all the directors to schedule the Board Meetings, Committee Meetings, agenda and detailed notes on agenda were sent at least seven days in advance by way of hand delivery and a system exists for meaningful participation at the meeting. All Decisions at board meeting and Committee meetings have been carried out as recorded in the minutes of the meetings of the Board of Directors or Committee of the Board, as the case may be.

I further report that

There are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I have relied on the Representation made by the Company and its officers for systems and mechanism formed by the company for compliances under other Acts, laws and Regulations applicable to the Company.

In case of Direct and Indirect Tax Laws like Income Tax Act and GST Act, I have relied on the Reports given by the Internal Auditors of the Company.

Pankaj Kumar Sharma

Company Secretary

M. No.: ACS 51462

CP No.:19365

Date: 01st Day of September, 2021

Place: Jaipur

UDIN: A051462C000871886

Annexure-A: List of Documents verified under Co. Act 2013

1. Memorandum and Articles of Association of the Company
2. Annual Return for the Financial year ended 31.03.2021
3. Minutes of the meetings of the Board of Directors, Audit Committee and Nomination and Remuneration Committee along with Attendance Register maintained during the financial year under Report
4. Minutes of general board meetings held during the financial year under Report
5. All statutory Registers
6. Agenda papers sent for the Board Meetings and Committee Meetings
7. Declaration received from the Directors of the company pursuant to the provisions of section 184 of the companies Act, 2013 and attachments thereto during the financial year under Report.
8. E- Forms filed by the company, from time- to-time, under applicable provisions of the Companies Act, 2013 and attachments thereto during the financial year under Report.

Pankaj Kumar Sharma

Company Secretary

M. No.: ACS 51462

CP No.: 19365

Date: 01st Day of September, 2021

Place: Jaipur

UDIN: A051462C000871886

Appendices A

To,
The Members,
MEWAR HI-TECH ENGINEERING LIMITED,

My Report of given date is to be read along with this letter.

1. Maintenance of Secretarial record is the responsibility of the management of the company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and process as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the process and practice I followed, provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, I have obtained the Management representation about the compliance of Laws, rules and regulation and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable Laws, rules, regulation and standards is the responsibility of management. My examination was Limited to the verification of procedure on test basis.
6. The Secretarial Audit Report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

Pankaj Kumar Sharma

Company Secretary
M. No.: ACS 51462
CP No.: 19365

Date: 01st Day of September, 2021
Place: Jaipur
UDIN: A051462C000871886



SAGAR GOLCHHA & Co.

CHARTERED ACCOUNTANTS

Office: - 33 OSTWAL NAGAR, SUNDERWAS, UDAIPUR-313001

Ph: - 0294-2941242, 09829401815, e-mail casagarit@yahoo.in

UDIN :- 21076797AAAAEN1874

INDEPENDENT AUDITOR'S REPORT

To the Members of Mewar Hi-Tech Engineering Limited, Udaipur

Report on the Financial Statements

Opinion

We have audited the accompanying financial statements of **Mewar Hi-Tech Engineering Limited, Reg. Off: -- 1- Hawa Magri, Industrial Area, Sukher, Udaipur** ("the Company"), which comprise the Balance Sheet as at 31st March, 2021, the Statement of Profit & Loss (including other comprehensive income) and the Cash Flow Statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2021, and profit/loss and its cash flows for the year ended on that date. **[Subject to comments in Note-1 & 2 of Accounting Policy & Note on Account]**

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules there under, and we have fulfilled our other ethical

responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

The following has been considered as Key Audit Matters:-

Key Matters	Auditor Observation
Transaction with related party	As a part of the business activity, the Company deals with entities which are related parties and significant revenue sources /expenses are from/to related parties also. The Arm's length pricing of the transactions with Related Parties, risks of material misstatement associated with related party relationships and transactions may have significant impact on the interest of the Company and true and fair presentation of related party relationships and transactions in the financial statements of the Company.
Loan from Deewan Housing Finance Corp. Ltd	Company has borrowed loan from Dewan Housing Financial Corporation Ltd. against hypothecation of house of Director Shri C.S. Rathore and Smt Reena Rathore. This loan has been considered under the head unsecured in the Balance Sheet. In our opinion, being a borrower said loan should be considered as secured.
Statutory Liability	It is observed, the company has irregular in deposits statutory dues viz ESI, PF, GST, TDS (I.T.). In our opinion persuasive steps required to avoid the interest/late fee/penalty and prolonged litigation.

Inventory /WIP	The maintained inventory record is neither adequate nor feasible for our audit. In our opinion persuasive inventory record must be maintained on account of proper verification and safeguard of the company at least for major items. Hence it is certified by the management only.
Entry Tax Liability (Under Raj. Vat Act)	Demand regarding entry tax for the financial year 2013-14 of Rs 42660/- vide order dtd 22.03.2016 financial year 2014-15 of Rs. 51490 vide order dated 04.11.2016 has been raised by the commercial taxes department under Rajasthan VAT (E T Tax) Act. The company did not make any provision for denoted liability in their books of account also not challenged.

Other Matters

The continuous spreading of COVID -19 across India has resulted in restriction on frequently physical visit to the client locations and the need for carrying out alternative audit procedures as per the Standards on Auditing prescribed by the Institute of Chartered Accountants of India (ICAI). As a result of the above, the audit was also carried out with based on remote access of the data as provided by the management of the Company. We have been represented by the management of the Company that the data provided for our audit purposes is correct, complete, reliable and are directly generated by the accounting system of the Company without any further manual modifications.

We bring to the attention of the users that the audit of the financial statements has been also performed in the aforesaid conditions.

Our audit opinion is not modified in respect of the above.

Information other than the Financial Statements and Auditors' Report thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report and the related annexures, but does not include the financial statements and our Auditors' Report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial statements or our knowledge obtained during the course of our audit or otherwise

appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flow of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards referred specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting the frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

That Board of Directors is also responsible for overseeing the company's financial reporting process.

Auditors' Responsibility

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the Financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3) (i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the Financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of

our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure B " a statement on the matters specified in the paragraph 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143 (3) of the Act, we report that:-
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, and the Statement of Profit and Loss and the cash flow statement dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March 2021 taken on record by the Board of Directors, none of the directors is

disqualified as on 31st March 2021 from being appointed as a director in terms of Section 164 (2) of the Act.

- (f) With respect to the adequacy of the internal financial control over financial reporting of the company and the operating effectiveness of such control, refer to our separate Report in “Annexure A”. Our report expresses an opinion on the adequacy and operating effectiveness of the Company’s internal financial controls over financial reporting.
- (g) With respect to the other matters to be included in the Auditor’s Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:-
 - i. The Company does not have any pending litigation on its financial position in its financial statement.
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There were no amounts which required to be transferred by the Company to the Investor Education and Protection Fund.

Place: Udaipur

Dated: July 05, 2021

For: SAGAR GOLCHHA & CO.

**Chartered Accountants
Firm Regn No.- 007755C**

**[CA. Sagar Golchha]
M.No.- 076797
Proprietor**

The Annexure – A referred to in our Independent Auditors’ Report to the members of the Mewar Hi-Tech Engineering Limited, , Udaipur on the financial statements for the year ended 31 March 2021, we report that:

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

We have audited the internal financial controls over financial reporting of **Mewar Hi-Tech Engineering Limited** (“the Company”) as of 31 March 2021 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (‘ICAI’). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding

of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March 2021, based on the internal control over financial

reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. **[Subject to comments in Note-1 & 2 of Accounting Policy & Note on Account]**

Place: Udaipur

Dated: July 05, 2021

For: SAGAR GOLCHHA & CO.

**Chartered Accountants
Firm Regn No.- 007755C**

**[CA. Sagar Golchha]
M.No.- 076797
Proprietor**

The Annexure – B referred to in our Independent Auditors’ Report to the members of the Mewar Hi-Tech Engineering Limited on the financial statements for the year ended 31 March 2021, we report that:

The Annexure referred to in Independent Auditors’ Report to the members of the Company on the standalone financial statements for the year ended 31 March 2021, we report that:

1. In respect of fixed assets:

- a. The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- b. As explained us, the fixed assets have been physically verified by the management according to a phase programmed, which in our opinion is reasonable having regard to the size of the company and nature of its assets. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
- c. According to the information and explanations given to us, the title deeds of immovable properties are held in the name of the company, and the same have been disclosed as fixed assets in the financial statement. Details are as under:-

Particulars of assets	Date of Purchases	Description	Mortgage / Pledged	Book Value As On 31.03.2021 (Rs.)
Factory Land	26.06.2008	Araji No.1863/414 Area 0.21 Hectare	With Corporation Bank	11318796/-
Factory Land	18.06.2010	Araji No.1862/414 Area 3 Bigha’s	With Corporation Bank	

2. In respect of Inventories:-

As explained to us, the inventories of finished goods, work in progress, store & consumables (excluding third parties) were physically verified during the year by the management at reasonable intervals and according to the information and

explanations given to us, no material discrepancies were noticed on physical verification.

However, in our observation, it is found that the company needs significant method to maintain inventory records. The persuasive inventory record must be maintained on account of proper verification and safeguard of the company at least in case of major items. In our opinion the maintained records is insufficient hence we have not verified. The management has valued / verified inventory taken in the Balance Sheet.

It is observed that no record have been produced for our verification of service work in progress, hence not verified. According to financial statement there is no service (repairing / job) in WIP at the end of the year.

3. The Company has not granted any loans, secured or unsecured to companies, firms, limited liability partnership or other parties covered in the register maintained under Section 189 of the Companies Act, 2013.
4. In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of section 185 and 186 of the Act, with respect to the loans and investments made.
5. According to the information and explanations given to us and record of the company examined by us, the Company has not accepted any deposits from the public during the year. The company has complied with the provision of sec. 73 to 76 or any other relevant provisions of the Companies Act, 2013.
6. The Central Government has not prescribed the maintenance of cost records under section 148(1) of the Act, for any of the services rendered by the Company.
7. a. According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/ accrued in the books of account in respect of undisputed statutory dues including GST, Income Tax, TDS and other material statutory dues have been noticed irregular to deposits during the year by the Company with the appropriate authorities.

According to information and explanations given to us, the following statutory dues were in arrears as at 31 March 2021 for a period of more than six months from the date they became payable.

S.No.	Nature of dues	Amount outstanding as on 31.03.2021 (Rs.)	Amount Pending more than six months (Rs.)	Related period	Remarks
1	TDS	1544876	576269	FY 20-21	
2	TCS	313246	--	FY 20-21	
3	PF Payable	2809606	332034	FY 20-21	
4	ESI Payable	443213	101422	FY 20-21	
5	GST (Net)	9437612	--	FY 20-21	
6	VAT	64399	64399	FY 17-18	
7	GST-Belgaon Branch	18027	18027	FY 17-18	
8	FBT Payable	59024	59024	Old Law	
8	Income Tax For A.Y. 2021-22 [Provision made in books]	1000000	500000		Considered for two quarter June 20 and Sept 20

b. According to the information and explanations given to us, details of dues is payable which has been quantified by the any Govt. Authority.

Name of the statute	Nature of dues	Amount Payable (in Rs)	Period to which the amount relates (F.Y.)	Forum where dispute is pending /Remarks
Income Tax	Tax and interest	579050	2013-14	ITAT -CIT
Income Tax	Tax and interest	325000	2013-14 Penalty	CIT-appeal, Udaipur
Income Tax	Tax and interest	690000	2014-15 Penalty	CIT-appeal, Udaipur
Income Tax	Tax and interest	944210	2017-18 Regular	CIT-appeal, Udaipur
Entry Tax	Tax	42660	2013-14	CTO

Entry Tax	Tax	51490	2014-15	CTO
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8. According to the records of the company examined by us and the information and explanation given to us, the company has not defaulted in repayment of dues to financial institutions or Bank.
- 9.
10. The Company did not raise any money by way of initial public offer or further public offer (including debt instruments) and term loans during the year. Accordingly, clause (ix) of the Order is not applicable.
- 11.
12. During the course of our examination of the books and records of the company, carried out in accordance with the generally accepted auditing practices in India and according to the information and explanations given to us, we have neither come across any instance of fraud on or by the company, notice or reported during the year, nor we have been informed of such case by the management.
13. Managerial remuneration has been paid / provided in accordance with the requisite approvals mandated by the provisions of section 197 read with schedule V to the Companies Act.
14. In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, clause (xii) of the Order is not applicable.
15. All transactions with the related parties are in compliance with Section 188 and 177 of Companies Act, 2013 where applicable and the details have been disclosed in the Financial Statements etc. as required by the accounting standards and Companies Act, 2013.
16. The company has not made any preferential allotment / private placement of shares or fully or partly convertible debentures during the year under review. Accordingly, clause (xiv) of the Order is not applicable.
17. The company has not entered into non-cash transactions with directors or persons connected with him.
18. The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act 1934.

Place: Udaipur

Dated: July 05, 2021

For: SAGAR GOLCHHA & CO.

Chartered Accountants

Firm Regn No.- 007755C

[CA. Sagar Golchha]

M.No.- 076797

Proprietor

MEWAR HITECH ENGINEERING LIMITED
01- HAWA MAGRI, INDUSTRIAL AREA, SUKHER, UDAIPUR
CIN U29299RJ2006PLC022625

BALANCE SHEET AS AT MARCH 31, 2021

<u>PARTICULARS</u>	<u>NOTE</u>	<u>F.Y. 2020-21</u> <u>(Rs.)</u>	<u>F.Y. 2019-20</u> <u>(Rs.)</u>
<u>EQUITY & LIABILITIES:</u>			
SHARE HOLDERS			
(1) FUNDS			
(a) Share Capital	2.01	39,036,000	39,036,000
(b) Reserves & Surplus	2.02	77,265,348	73,875,012
SHARE APPLICATION			
(2) MONEY	2.03	0	0
NON CURRENT			
(3) LIABILITIES			
(a) Long Term Borrowings	2.04	95,077,167	101,423,191
Deferred Tax Liabilities			
(b) (Net)			
CURRENT			
(4) LIABILITIES			
(a) Short Term Borrowings	2.05	127,369,861	119,993,193
(b) Trade Payables	2.06	173,307,600	149,315,117
Other Short Term			
(c) Liabilities	2.07	10,131,709	9,452,788
(d) Short Term Provisions	2.08	24,456,690	14,731,720
T O T A L		546,644,377	507,827,020
<u>ASSETS:</u>			
NON CURRENT			
(1) ASSETS:			
(a) FIXED ASSETS			
Tangible Assets	2.09	90,019,237	70,293,018
(b) Non Current Investment	2.10	1,129,245	1,129,245
Long Term Loans			
(c) &Advances	2.11	5,348,296	20,248,786

(2) CURRENT ASSETS

(a)	Inventories	2.12	280,175,547	268,215,109
(b)	Trade Receivables	2.13	139,446,415	108,125,964
(c)	Cash & Cash Equivalents	2.14	1,897,272	2,193,390
	Short Term Loans &			
(d)	Advances	2.15	119,070,378	17,143,095

(3) MISC EXPENDITURE 2.16

	16,657,987	20,478,413
T O T A L	546,644,377	507,827,020

SIGNIFICANT ACCOUNTING POLICIES **1 & 2**
AND NOTES ON ACCOUNTS

In terms of our audit report on even date.

For: M/s SAGAR GOLCHHA & Co.
CHARTERED ACCOUNTANTS
FIRM REG. NO. -
007755C

FOR : MEWAR HITECH
ENGINEERING LTD.

[C.S.Rathore]
DIN - 01748904
(Director)

[CA Sagar Golchha]
Proprietor
[M.N.076797]
Udaipur, 05.07.2021

[Reena Rathore]
DIN - 01748907
(Director)

<u>PARTICULARS</u>	NOTE	<u>F.Y. 2020-21 (Rs.)</u>	<u>F.Y. 2019-20 (Rs.)</u>
I. <u>INCOME</u>			
Revenue From			
(a) Operations	2.17	463,528,283	527,429,496
(b) Other Income	2.18	5,911,351	4,979,406
Total Revenue (a&b)		469,439,634	532,408,902
II. <u>EXPENDITURE</u>			
Raw Material			
(a) Consumed	2.19	342,355,208	388,050,347
Changes In			
(b) Inventories	2.20	-6,059,964	5,130,669
Manufacturing &			
(c) Direct Expenses	2.21	33,279,477	36,847,433
Employee Benefit			
(d) Expenses	2.22	26,219,838	16,422,933
(e) Finance Cost	2.23	30,461,876	28,890,518
(f) Depreciation	2.09	10,408,418	10,185,069
(g) Other Expenses	2.24	27,427,785	40,569,561
Total Expenses (a to g)		464,092,638	526,096,531
III. <u>PROFIT BEFORE TAX</u>			
	(I-II)	5,346,996	6,312,371
IV. <u>TAX EXPENSES</u>			
(a) Income Tax			
Current Year			
Provision		1,000,000	2,000,000
(b) Income Tax		956,659	896,630

Related to Earlier
Year

V	PROFIT FOR THE YEAR	(III-IV)	3,390,337	3,415,741
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VI	<u>EARNING PER</u> <u>EQUITY SHARE</u> <u>Basic & Diluted</u>		0.87	0.88
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SIGNIFICANT ACCOUNTING POLICIES
AND NOTES ON ACCOUNTS

1 & 2

In terms of our audit report on even date.
For: **M/s SAGAR GOLCHHA & Co.**
CHARTERED ACCOUNTANTS
FIRM REG. NO. -
007755C

**FOR : MEWAR
HITECH
ENGINEERING
LTD.**

[C.S.Rathore]
DIN - 01748904
(Director)

[CA Sagar Golchha]
Proprietor
[M.N.076797]
Udaipur, 05.07.2021

[Reena Rathore]
DIN - 01748907
(Director)

NOTES TO THE BALANCE SHEET:**F.Y.2020-**
21(Rs.)**F.Y. 2019-20**
(Rs.)**NOTE- 2.01****SHARE CAPITAL**AUTHORISED SHARECAPITAL:[45,00,000 Equity Share
of Rs. 10/- each]45,000,00045,000,000ISSUED ,SUBSCRIBED
& PAID UP:Equity Share of Rs.10/-
each39,036,00039,036,000*The reconciliation of the
number of shares
outstanding and the
amount of share capital as
at March 31,2021
and March 31,2020 is set
out below:*

Particulars	As at March. 31, 2021		As at March 31, 2020	
	No. of Shares	Rs.	No. of Shares	Rs.
Shares at the beginning	3,903,600	39,036,00	3,903,600	39,036,000
Add : Shares issued	0	0	0	0
Shares at the end	3,903,600	39,036,00	3,903,600	39,036,000

NOTE- 2.02**RESERVES & SURPLUS****SECURITY PREMIUM**

Opening Balance

39192000

Add: On Share Issued
during the year0

39,192,000

39,192,000

PROFIT & LOSS

Opening Balance	34,683,012		
Add : Net Profit for the period	3,390,337	38,073,348	34,683,012
T O T A L	77,265,348	73,875,012	

NOTE- 2.03**SHARE APPLICATION MONEY:**

	0	0
T O T A L	0	0

NOTE- 2.04**LONG TERM BORROWINGS****(A) SECURED**

**Small Industrial
Development Bank of
India**

*[Agt Hyp. of VTL
Machine 500mm]*

Less : Current Maturity

1,492,600		
588,000	904,600	1,247,600

**Corporation Bank Term
Loan- A/c No.-
560716000302916**

Less : Current Maturity

24,000,000		
0	24,000,000	0

**HDFC Bank (Land
Rover Loan)-59.31 Lakh**

Less : Current Maturity

5,358,069		
1,048,504	4,309,565	0

**HDFC Bank (S Presso
Cars)**

Less : Current Maturity

1,533,033		
297,546	1,235,488	0

**Small Industrial
Development Bank of**

376,000

India-3.76 Lakh

Less : Current Maturity	62,400	313,600	0
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T O T A L (A)	30,763,253	1,247,600	
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(B) UNSECURED**(a) Term Loans from Banks****Aditya Birla Finance Ltd****(30. Lakh)**

1,890,187

Less : Current Maturity

1,048,702

841,485

1,583,762

Dewan Housing Finance Corporation Ltd

[Mortgage Loan against H.No. 3C, 1,938,111

Ambavgarh,Udaipur owned by Director

Mrs.Reena Rathore &

Sh.Sh.C.S.Rathore]

Less : Current Maturity

1,623,134

51,314,977

50,335,467

Fullerton India credit Co.Ltd (Business Loan - 30. Lakh)

2,162,601

Less : Current Maturity

990,178

1,172,423

1,920,745

ICICI Bank Ltd (Business Loan -50. Lac)

3,459,289

Less : Current Maturity

1,678,198

1,781,091

3,061,245

IDFC First Bank Ltd (Business Loan -51. Lac)

2,929,210

Less : Current Maturity

1,475,437

1,453,773

2,417,965

IDFC First Bank Ltd (Business Loan -51. Lac)

918,934

Less : Current Maturity

159,363

759,571

0

Kotak Mahindra Bank Ltd (Business Loan -30. Lac)			
	1,160,248		
Less : Current Maturity	1,160,248	0	928,219
Loans & Advances from Related Parties (Interest bearing)			
(b) Mewar Technocast P.Ltd	1,592,774		22,977,875
Himanshu Sharma U.L	300,000		0
Kalpana Sharma	685,000		0
Mrs. Reena Rathore	0		914,206
Shri Chattar Singh Rathore	0		5,871,296
V.S.R Rocks Engineering	4,412,821		10,164,811
	TOTAL (B)	64,313,914	100,175,591
<i>*Segregation of Long Term & Short term Borrowings are on discretion of Management.</i>	TOTAL (A+B)	95,077,167	101,423,191

NOTE- 2.05**SHORT TERM BORROWINGS****SECURED****Loans Repayable on Demand 'From Banks**

Union Bank of India C/A 510101005336561	1,162,149	0
Union Bank of India C.C A/c - 560101000094698 [W.C. Loan]	126,207,712	119,993,193
TOTAL	127,369,861	119,993,193

Working capital loan are secured by hypothecation of present and future stock of raw material, finished good, work in progress, store spare, book debts etc.

NOTE- 2.06**TRADE PAYABLE****(a) Trade Creditors**

(As per Statement-1)

T O T A L (a)	125,160,383	130,024,804
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<u>Advance</u>	<u>From</u>
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(b) Customers

(As per Statement-2)

T O T A L (b)	48,147,217	19,290,313
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T O T A L (a+b)	173,307,600	149,315,117
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NOTE- 2.07

<u>F.Y. 2020-21</u>	<u>F.Y. 2019-20</u>
<u>₹s.)</u>	<u>(Rs.)</u>

OTHER SHORT TERM LIABILITIES**Current Maturities of
Long Term Debt**

Aditya Birla Finance Ltd.

(Business Loan 30Lac)

1,048,702	1,154,243
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Corporation Bank Term
Loan-A/c No.

560716000302916)

0	0
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Dewan Housing Finance

Corporation Ltd

1,673,454	1,673,454
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Fullerton India Credit Co
Ltd. (Business Loan)

990,178	880,208
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HDFC Bank (Land Rover
Loan)-59.31 Loan

1,048,504	0
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HDFC Bank (S Presso
Cars)

297,546	0
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ICICI Bank- (Business
Loan 50 Lac)

1,678,198	1,498,188
-----------	-----------

IDFC First Bank
(Business Loan 51 Lac)

1,475,437	2,003,897
-----------	-----------

IDFC First Bank

159,363	159,363
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(Business Loan 51 Lac) Kotak Mahindra Bank Ltd		
(Business Loan 30Lac)	1,160,248	1,654,798
Small Industrial Development Bank of India -3.76 Lac	62,400	0
Small Industrial Development Bank of India	588,000	588,0000
T O T A L	10,131,709	9,452,788

NOTE- 2.08**SHORT TERM PROVISIONS**

Audit & Legal Fee Payable	280,675	263,900
AVVNAL Badgaon Advance Against Expenses to staff/worker Advance Against Travelling	161,731	36,888
Bonus Payable	155,903	0
Civil Wages Payable	735,312	0
CST amount retained (repayable on submission of C-form)	916,985	973,895
Director Remuneration Payable	0	39,220
E.P.F. Payable	0	1,109,641
ESI Payable	522,730	22,482
FBT Payable	2,809,605	392,929
GST Payable	443,273	102,571
GST Payable - Belgaum Branch	59,024	59,024
Provision for Taxation for the Year	9,437,612	3,302,346
Interest Payable CC and other loan	18,027	18,027
	1,000,000	2,000,000
	511,365	1,454,462

S.D. Against C Form (Not to Deposit)	0	32,941
Salary Payable	3,990,812	1,701,408
TCS Payable	313,246	91,432
TDS Payable	1,544,876	1,060,482
Vat Payable - Assam Branch	41,837	41,837
Vat Payable - Belgaum Branch	22,562	22,562
Wages Payable	1,489,125	2,005,673
T O T A L	24,456,690	14,731,720

NOTE- 2.10**NON CURRENT INVESTMENTS**

Equity Share in Mewar Technocast P. Ltd.	1,000,000	1,000,000
Gold Coins	129,245	129,245
T O T A L	1,129,245	1,129,245

NOTE- 2.11**LONG TERM LOANS & ADVANCES**

(Secured Considered
Good)

(a) Other Advances

Birendra Nehpal	0	15,000
Dhan Singh Ranawat	50,000	0
Hari Om Sisodiya-Khandwa	0	450,000
Jagannath Yadav-Khandwa	0	200,000
KAXIIA Apperals Pvt Ltd	400,000	0
Meenakshi Property	400,000	400,000
Pantomath Capital	234,618	234,618

<u>F.Y. 2020-21</u>	<u>F.Y. 2019-20</u>
<u>(Rs.)</u>	<u>(Rs.)</u>

Advisors P.Ltd		
Phosphate India P.Ltd	300,000	500,000
Pradeep Kumar Danga-Broker	0	353,150
Rathore Infra	0	15,795,763
Rinku Solanki-Khandwa	450,000	450,000
Satyanarayan Yadav-Khandwa	200,000	200,000
ShivRaj Singh Ji Shekhawat	580,316	761,753
Tej Singh Rathore	100,000	100,000
Thomas Cook India P Ltd	100,000	100,000

T O T A L (a)	2,814,934	19,560,284
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(b) **Security Deposits**

Security Deposit with A.V.V.N.L	31,309	31,309
Security Deposit with B.S.N.L	11,600	11,600
Security Deposit with Sales Tax Department	10,000	10,000
Security Deposit ag .Bank Gurantee	2,480,453	635,593

T O T A L (b)	2,533,362	688,502
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T O T A L (a+b)	5,348,296	20,248,786
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NOTE- 2.12

INVENTORIES

Raw Material	95,966,397	90,065,923
Work In Progress / Finished Goods	184,209,150	178,149,186
<i>(Inventories are valued and certified by the Management.)</i>		
T O T A L	280,175,547	268,215,109

NOTE- 2.13**TRADE RECEIVABLES**(Secured Considered
Good)(a) **Trade Debtors**

(As per Statement-3)

T O T A L (a)	129,557,518	99,249,448
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(b) **Advance to Suppliers**

(As per Statement-4)

T O T A L (b)	9,888,897	8,876,516
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T O T A L (a+b)	139,446,415	108,125,964
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NOTE- 2.14**F.Y. 2020-21****(Rs.)****F.Y. 2019-20****(Rs.)****CASH & CASH EQUIVALENTS**(a) **Balance With Banks**

Union Bank of India C/A

510101005336561

0

18,486

Union Bank of India C/A

510101005338300

2811

4,581

T O T A L (a)	2,811	23,066
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(b) **Cash in Hand**

T O T A L (b)	1,894,461	2,170,324
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T O T A L (a+b)	1,897,272	2,193,390
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NOTE- 2.15**SHORT TERM LOANS & ADVANCES**(a) **Advance Against**

0

74,232

Expenses to Staff/worker		
Advance Against Travelling	0	3,817,022
Loan to Staff & Workers	160,647	386,692
Income Tax For Stay - A.Y.2010-11	400,000	400,000
Income Tax For Stay - A.Y.2013-14	250	0
Income Tax For Stay - A.Y.2014-15	259,556	259,306
Income Tax For Stay - A.Y.2017-18	238,000	238,000
Income Tax Refund	406,040	406,040
Prepaid Expenses	15,485	40,125
Prepaid Insurance	313,033	209,574
T O T A L (a)	1,793,011	5,830,991

(b) Security Deposits

EMD with MOIL Ltd.	0	74,900
EMD with Software Technology Parks of India	500,000	500,000
EMD with UPRVUNL-Kasimpur	26,000	26,000
EMD With UPRVUNL-Obra	143,400	143,400
HDFC Smart Card	0	8,291
Input Sales Tax/VAT	7,121,517	8,264,099
Input Excise Duty		0
EMD with Ultratech Cement Limited	15,000	15000
EMD with Synise Technologies Limited	100,000	100,000
Security Deposit with BSE Ltd.	233,640	233,640
Security Deposit with Chandra Doshi-Landload	9,000	9,000
Security Deposit with Hamburg Sud India P. Ltd	21,845	21,845
Security Deposit with	72,273	72,273

UPRVUNL-Panki			
Security Deposit with			
MSC Agency Ind.P. Ltd	20,000	20,000	
Security Deposit With			
RSMML	19,000	19,000	
Security Deposit with			
SAIL	13,333	13,333	
Security DepRoyal			
Imperial Resident Welfare			
Society	100,000	100,000	
Tribunal Appeal Excise			
Ag Advance Deposit	0	690,164	
TDS on Interest			
recoverable from NBFC	1,213,715	684,211	
TDS Receivable	568,643	316,948	
T O T A L (b)	10,177,367	11,312,104	
T O T A L			
(a+b)	11,970,378	17,143,095	

NOTE- 2.16

<u>F.Y. 2020-21</u>	<u>F.Y. 2019-20</u>
<u>(Rs.)</u>	<u>(Rs.)</u>

MISCELLANEOUS EXPENDITURES

[Not to be written off or
adjusted]

Deferred Expenditure	16,255,886		
Less : 1/10 W/off	<u>2,249,046</u>	14,006,840	16,255,886
Deferred Expenditure	1,511,222		
Less : 1/10 W/off	<u>212,900</u>	1,298,322	167,311
(Development Exp. For Hydraulic Power			
Deferred Expenditure	2,711,305		
Less : 1/10 W/off	<u>1,358,480</u>	1,352,825	4,055,216
(Development Exp. For			

Hydraulic Power Pack &
Gear Box)

T O T A L	16,657,987	20,478,413
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NOTES TO THE PROFIT & LOSS STATEMENT:

2020-21(Rs.) **2019-20 (Rs.)**

NOTE- 2.17

REVENUE FROM OPERATIONS

Supplies of Goods

Supplies of Finished Goods	420,544,171	487,835,380
Supplies of Finished Goods (Export)	29,593,882	24,577,390
Supplies (Under Trade)	10409089	9,043,854
	460,547,142	521,456,624
Less: Supply Return Goods	9,140,578	5,990,555
Sub Total-(a)	451,406,564	515,466,069

Supply of Services

Job Work Income	12,121,719	11,856,763
Marketing Service	0	106,664
Sub Total-(b)	12,121,719	11,963,427
T O T A L	463,528,283	527,429,496

NOTE- 2.18

OTHER INCOME

Duty Drawback	100,064	0
Interest Income	5,767,287	4,975,045
Insurance Claim Received	44,000	4,361
T O T A L	5,911,351	4,979,406

NOTE- 2.19

**RAW MATERIAL
CONSUMED**

Opening Stock	90,065,923		
Add: Purchases	348,255,682		
	438,321,605		
Less: Closing Stock	95,966,397	342,355,208	388,050,347
<i>* It includes goods for trading also.</i>			
T O T A L		342,355,208	388,050,347

NOTE- 2.20

**INCREASE/(DECREASE)
IN FINISHED GOODS /
WIP**

Opening Stock		178,149,186	183,279,855
Closing :- Finished Goods/Work In Progress		184,209,150	178,149,186
T O T A L		-6,059,964	5,130,669
		2020-21	2019-20
		(Rs.)	(Rs.)

NOTE- 2.21

MANUFACTURING & DIRECT EXPENSES

Diesel & Fuel	896,407	884,482
Discount & Rebate	745,243	462,015
Erection & Installation Charges	2,084,055	999,141
Freight Inward	3,093,317	2,904,341
Freight Outward, Loading & Unloading Charges	676,570	2,170,012
Job Work Charges	5,177,713	4,613,345
Power Expenses	877,339	4,502,001
Repair & Maintenance (Direct)	1,840,006	1,611,701
Wages to Workers	17,879,707	18,695,065

Weightment Charges

	9,120	5,330
T O T A L	33,279,477	36,847,433

NOTE- 2.22

EMPLOYEE BENEFIT EXPENSES

Bonus to employees	961,830	973,895
Employer Contribution towards ESI	492,901	633,540
Employer Contribution towards PF	2,252,567	2,354,865
Leave Encashment	186,164	120,289
Salary to Staff	6,567,156	6,615,662
Staff & Labour Welfare Expenses	895,084	496,839
Stipend	8,970,285	0
Allowance & Perquisites to Staff	5,091,153	5,000,247
Gratuity Expenses	802,698	227,596
T O T A L	26,219,838	16,422,933

NOTE- 2.23

FINANCE COST

Bank Charges & Commission	835,962	822,970
Bank Charges (Export)	2,400	0
Interest on Business Loan	0	45,964
Interest on Cash Credit Limit	13,115,780	1,39,28,747
Interest on Foreign Bill Discounted	29,769	59,778
Interest On Sales Tax	1,700,089	15,815
Interest on Term Loan	1,250,487	2,44,432

Interest on Unsecured Loan	12,906,740	12,776,524
Interest on Secured Loan	620,065	0
Interest to Other	583	675,525
Interest on TDS Late deposition	0	320,762
T O T A L	30,461,876	2,88,90,518

NOTE- 2.24**2020-21**
(Rs.)**2019-20 (Rs.)****OTHER EXPENSES**

Advertisement & Publicity	1,088,938	478,820
Annual Maintenance Charges	46,890	24,125
Audit & Legal Fee	354,200	311,000
Audit Expenses	3,412	0
Audit Fee (Stock Audit)	0	0
Book & Periodicals	0	0
BPO Expenses	0	78,559
Business Promotion Expenses	1,084,339	1,177,837
Business Promotion Expenses W/off	212,900	212,900
Charity & Donation	100,000	85,725
Consultancy Charges	125,892	300,785
Conveyance Exp.	474,204	212,539
Credit Rating Expenses	26,250	42,750
Clearing and forwarding expenses	129,993	0
Demurrage Charges	297,047	79,930
Director Remuneration	1,620,000	18,00,000
Director Travelling Expenses (Business)	39,891	459,057

Expenses Related to Earlier Year	1,190,689	1,159,931
Excise Duty		
Expenses	0	1,356,967
Export Certification Expenses		4,500
Factory Expenses	41,589	379,627
Fee (Valuation, Tax, Cess etc)	197,700	271,278
Festival Expenses	798,614	933,217
Foundation Day	44,990	615,071
Foreign exchange gain & loss	17,291	0
FumigationService	0	2000
Guest House Up Keep	0	8,757
Insurance expenses	334,588	172,194
ISO 9001:2008 Expenses	0	4,000
Late Fee	23,900	30,600
Legal & Professional Exp.	162,910	68,770
Legal & Professional fee	142,470	676,169
Membership & Subscription	0	7,500
Misc. Expenses	0	4,056
Office Expenses	219,382	67,347
Penalty (BSE Limited)	130,000	13,842
Penalty (Govt Liab.)	0	60,187
Penalty (GST)	0	105,570
Penalty(TDS)	0	1,402,962
Postage & Courier Charges	42,137	39,780
Printing & Stationery	238,669	229,691
Product Development Expenditure W/off	1,358,480	1,358,480
Rent - Plant & Machinery (MTPL)	402,000	402,000
Rent - Registered office	900,000	900,000

Rent - Staff Room	500,000	0
Repairs & Maintenance (Indirect)	1,229,792	304,438
Research & Development Expenditure W/off.	2,249,046	2,249,046
Rounded Off	10,733	1,732
Sales Commission- Domestic	3,179,949	3,014,312
Sales Commission-Export	1,644,303	0
Security expenses for safety	4,915	10,360
Software Expenses	10,800	10800
Excise Duty Expenses	0	162,059
Sundry Balance W/off	0	13,457,444
Tea Expenses	618,058	55,723
Telephone & Mobile Expenses	126,719	71,453
Tender Fee	1,000	5,932
Testing & Analysis	76,974	76,000
Training Expenses	0	9,500
Travelling Expenses	4,624,919	4,655,955
Vehicle Up-Keep Expenses	1,104,113	571,835
Website Expenses	197,100	374,450
T O T A L	27,427,785	40,569,561